



HONG SENG CONSOLIDATED BERHAD

Reg No: 200101001581 (537337-M)



Driving Forward

Sustainable Growth

Annual Report **2024**

23RD

ANNUAL GENERAL MEETING

Thursday

29 August 2024, 9.00 am

Ballroom V, Main Wing, Tropicana
Golf & Country Resort, Jalan Kelab
Tropicana, 47410 Petaling Jaya,
Selangor Darul Ehsan, Malaysia

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CORPORATE INFORMATION

BOARD OF DIRECTORS

CHRISTOPHER CHAN HOOI GUAN*Executive Director***LESTER CHIN KENT LAKE***Executive Director***LEE LI CHAIN***Executive Director***LEONG SENG WUI***Executive Director**Appointed on 8 April 2024***DATO' KANG CHEZ CHIANG***Independent Non-Executive Director***LEONG KAM SOON***Independent Non-Executive Director***YAP KIEN MING***Independent Non-Executive Director*

AUDIT COMMITTEE

Leong Kam Soon (*Chairman*)

Yap Kien Ming

Dato' Kang Chez Chiang

NOMINATION COMMITTEE

Yap Kien Ming (*Chairman*)

Leong Kam Soon

Dato' Kang Chez Chiang

REMUNERATION COMMITTEE

Yap Kien Ming (*Chairman*)

Leong Kam Soon

COMPANY SECRETARIES

Tea Sor Hua (*MACS 01324*)
(SSM PC No. 201908001272)Lee Xiang Yee (*MAICSA 7068124*)
(SSM PC No. 202408000069)

REGISTERED OFFICE

Third Floor, No. 77, 79 & 81,
Jalan SS 21/60, Damansara Utama,
47400 Petaling Jaya,
Selangor Darul Ehsan
Tel No. : 03-7725 1777
Fax No. : 03-7722 3668
Email : cms_cospec@yahoo.com

PRINCIPAL PLACE OF BUSINESS

C-01-3, Block C, Plaza Glomac
No. 6, Jalan SS 7/19, Kelana Jaya
47301 Petaling Jaya
Selangor Darul Ehsan
Tel No. : 03-7887 1666
Fax No. : 03-7887 1766
Website : www.hongseng.com.my
Email : bizco@hongseng.com.my

SHARE REGISTRAR

Boardroom Share Registrars Sdn. Bhd.11th Floor, Menara Symphony
No. 5, Jalan Prof. Khoo Kay Kim
Seksyen 13, 46200 Petaling Jaya
Selangor Darul Ehsan
Tel No. : 03-7890 4700
Fax No. : 03-7890 4670
Email : BSR.Helpdesk@boardroomlimited.com

AUDITORS

Grant Thornton Malaysia PLT

(201906003682 & AF 0737)

(Member Firm of Grant Thornton International Ltd.)

Chartered Accountants
Level 11, Sheraton Imperial Court
Jalan Sultan Ismail
50250 Kuala Lumpur
Tel No. : 03- 2692 4022
Fax No. : 03- 2732 5119

PRINCIPAL BANKERS

Hong Leong Bank Berhad
Public Bank Berhad
RHB Bank Berhad

SOLICITORS

Peter Ling & Van Geyzel

STOCK EXCHANGE LISTING

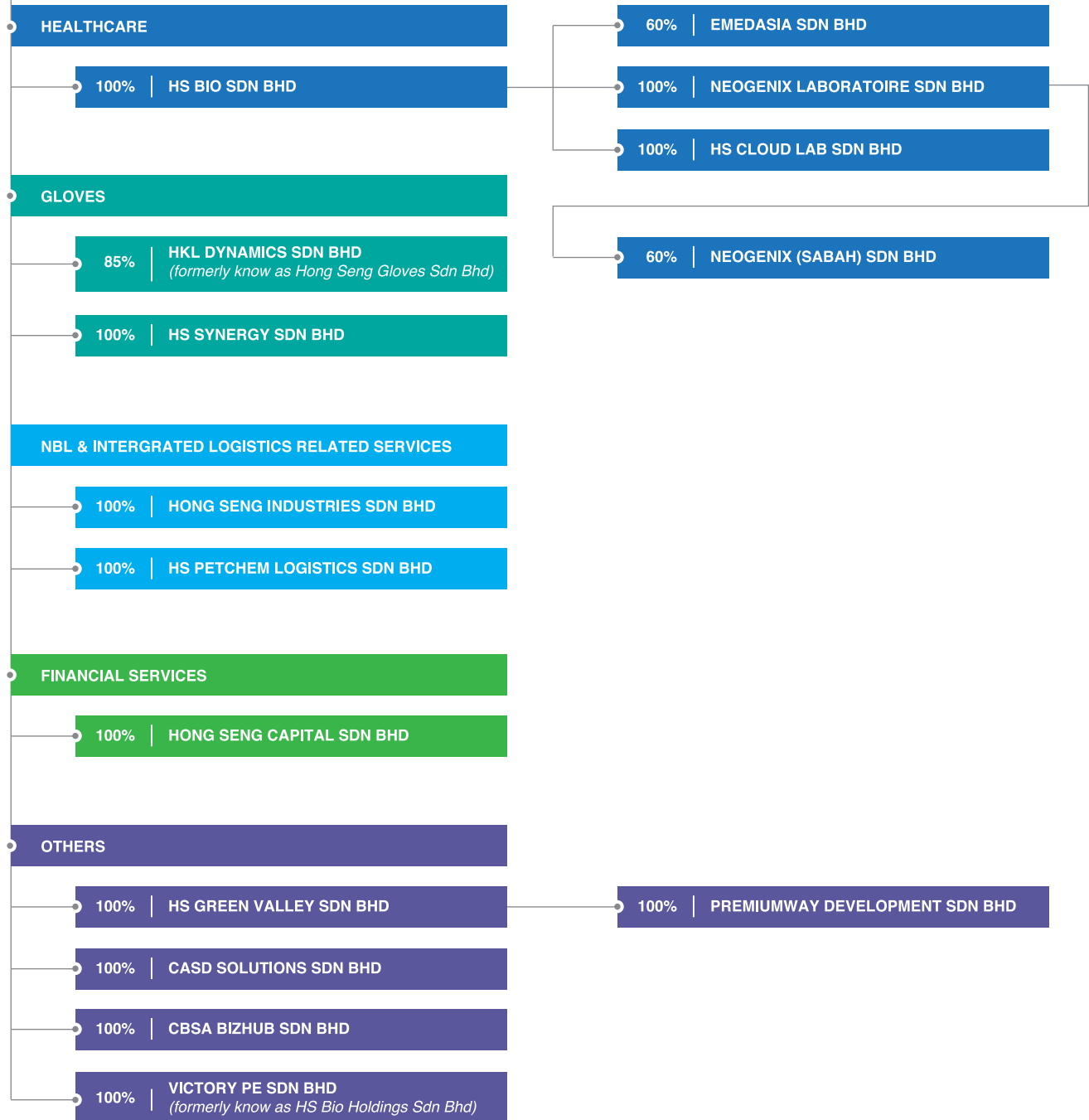
Main Market of Bursa Malaysia
Securities Berhad
Stock name : HONGSENG
Stock code : 0041

CORPORATE STRUCTURE



HONG SENG CONSOLIDATED BERHAD

Reg No: 200101001581 (537337-M)



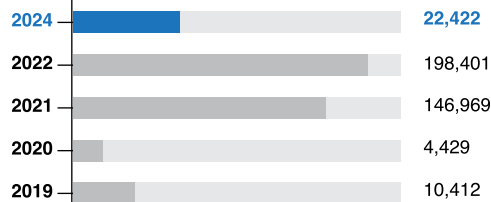
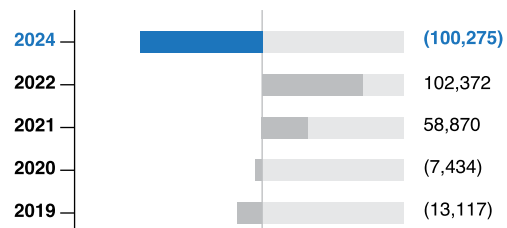
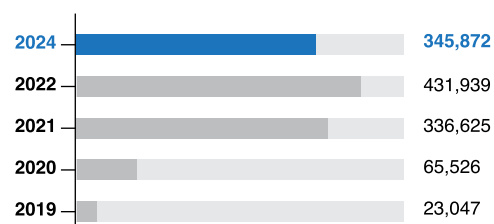
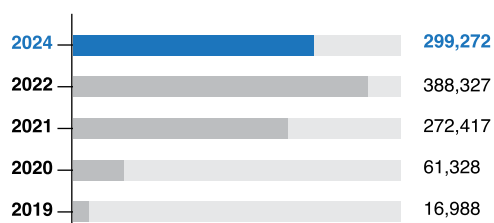
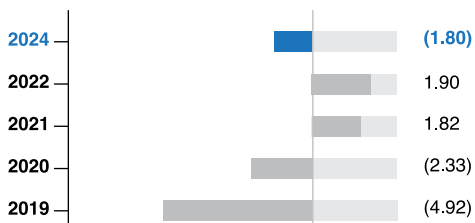
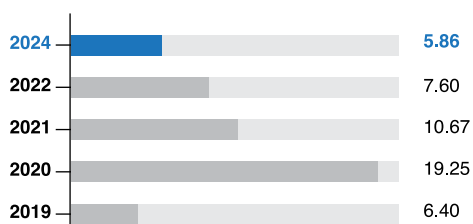
5 YEARS FINANCIAL HIGHLIGHTS

		2019	2020	2021 #	2022	2024 ##
RESULTS OF OPERATION						
Revenue	RM'000	10,412	4,429	146,969	198,401	22,422
EBITDA (Earnings Before Interest, Taxes, Depreciation and Amortisation)	RM'000	(11,387)	(7,504)	71,095	129,389	(80,496)
(Loss)/Profit Before Taxation	RM'000	(12,624)	(7,458)	69,848	119,170	(99,365)
(Loss)/Profit After Taxation	RM'000	(13,117)	(7,434)	58,870	102,372	(100,275)
Net (Loss)/Profit Attributable to Equity Holders	RM'000	(13,072)	(7,434)	46,366	97,192	(91,837)
FINANCIAL POSITION						
Total Assets	RM'000	23,047	65,526	336,625	431,939	345,872
Total Borrowings	RM'000	2,164	1,949	16,199	14,543	23,512
Equity Attributable To Owners of the Company	RM'000	16,988	61,328	272,417	388,327	299,272
FINANCIAL INDICATORS						
Return On Equity	%	(77.00)	(12.00)	17.00	25.00	(31.00)
Return On Total Assets	%	(57.00)	(11.00)	14.00	23.00	(27.00)
Gearing Ratio	times	0.13	0.03	0.06	0.04	0.08
Interest Coverage Ratio	times	(50.84)	(46.41)	139.77	204.94	(44.26)
(Loss)/Earnings Per Share	sen	(4.92)	(2.33)	1.82	1.90	(1.80)
Net Assets Per Share	sen	6.40	19.25	10.67	7.60	5.86
Share Price as at The Financial Year/Period End	RM	0.24	0.06	2.42	0.33	0.01

18-month period ended 30 September

18-month period ended 31 March

5 YEARS FINANCIAL HIGHLIGHTS (CONT'D)


REVENUE
(RM'000)

**(LOSS)/PROFIT AFTER
TAXATION**
(RM'000)

TOTAL ASSETS
(RM'000)

**EQUITY ATTRIBUTABLE TO
OWNERS OF THE COMPANY**
(RM'000)

(LOSS)/EARNINGS PER SHARE
(SEN)

NET ASSETS PER SHARE
(SEN)

PROFILE OF THE BOARD OF DIRECTORS



LESTER CHIN KENT LAKE
• Executive Director

Mr. Lester Chin Kent Lake (“Mr. Lester Chin”) started his career in the equity research and corporate finance industry as a Management Associate at RHB Investment Bank where he was promoted to Assistant Manager within two (2) years. During his stint as the Assistant Manager, he was responsible for ensuring the timely preparation of all relevant documents and assisting in reviewing documents to ensure high professional quality is maintained while providing support in initial public offers, merger and acquisition, disposal and other corporate transactions and others.

In 2011, he was appointed as an Equity and Technical Research Analyst at RHB Research Institute gaining experience dealing with both institutional and retail clients. His portfolio included the rubber glove and healthcare companies as well as technical analysis.

Subsequently, he joined UOB Kay Hian as the Head of Retail Research/ Senior Analyst from 2013 until 2017. He was tasked to conduct detailed equity research, including analysing and forecasting industry trends and articulating recommendations on sectors and stocks in designated segments, overseeing production and coordination of retail research reports and events, overseeing educational seminars and presentations for retail investors, active monitoring of the micro and macro factors affecting the sectors and companies under coverage, etc.

In October 2020, Mr. Lester Chin departed from UOB Kay Hian as the Associate Director of Equity Capital Markets, a position he held since 2017. In this role, he was responsible to oversee equity underwriting and placement activities of the company, accessing requirements, examining strategies, and proposing solutions for the capital raising needs of corporate clientele, conduct roadshows and presentations to enhance and improve issuers access to capital markets among others.

With over twelve (12) years of experience in the finance industry, Mr. Lester Chin is currently in the midst of establishing his own business venture.

Mr. Lester Chin is a substantial shareholder of the Company by virtue of his direct interest in Radiance Dynasty Sdn. Bhd., a substantial shareholder of the Company pursuant to Section 8 of the Companies Act 2016, and his father's shareholdings in the Company.

Currently, he is also the Non-Independent Non-Executive Director of Classita Holdings Berhad. He also holds directorships in several private limited companies.



Age
39



Nationality



Gender
Male



Date Appointed to the Board
11 February 2021

Attendance at Board meetings
held during the financial period
ended 31 March 2024
7/7

Mr. Lester Chin does not have any family relationship with any Director and/or major shareholder nor have any conflict of interest with the Company. He has not been convicted of any offences within the past five (5) years other than traffic offences, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



**CHRISTOPHER
CHAN HOOI GUAN**
• Executive Director

Mr. Christopher Chan Hooi Guan ("Mr. Christopher Chan") graduated from the University of Central Arkansas, United States of America, with a Bachelor of Music (Piano) degree in 1993. Following this, he served as a business consultant at Axiom Corporation in the United States of America before returning to Malaysia in 1996.

Upon his return, Mr. Christopher Chan established his own company and eventually expanded the business into a public listed company known as The Media Shoppe Berhad. With over twenty-five (25) years of experience in the IT industry, Mr. Christopher Chan was involved in the overall management and develop the strategic direction of the said listed company group. His responsibilities included fund raising exercises, managing the initial public offering process, acquiring new companies, making strategic investments as well as developing new local and global business partnerships. He retired as Group Chief Executive Officer in 2015.

Mr. Christopher Chan is also a Director and a substantial shareholder of TMS Software Sdn. Bhd. and Open Dynamics Sdn. Bhd. Additionally, he co-founded and held a significant stake in Joget Inc., a US-based software company, until 2020.

In 2001, Mr. Christopher Chan won the PIKOM-Computimes ICT Award for ICT Entrepreneur of the Year. He was also the finalist at the 2004 Ernst and Young ICT Entrepreneur of the Year Award. He served as President of the Technopreneurs Association of Malaysia (TeAM) between 2003 and 2005. Mr. Christopher Chan had served as the industry representative on Cradle (a venture capital agency under the Ministry of Science and Technology) between 2017 and 2020. He is a member of the Industry Advisory Board of Help University College.

Mr. Christopher Chan is a substantial shareholder of the Company by virtue of his direct interest in Aurora Crest Sdn. Bhd. and Open Dynamics Sdn. Bhd. pursuant to Section 8 of the Companies Act 2016.

Mr. Christopher Chan does not hold any directorship in other public companies and listed issuers but holds directorships in several private limited companies.



Age
57



Nationality



Gender
Male



Date Appointed to the Board
16 March 2021

Attendance at Board meetings
held during the financial period
ended 31 March 2024
7/7

He does not have any family relationship with any Director and/or major shareholder nor have any conflict of interest with the Company. He has not been convicted of any offences within the past five (5) years other than traffic offences, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



LEE LI CHAIN
• Executive Director

Ms. Lee Li Chain ("Ms. Li Chain") graduated from Tunku Abdul Rahman College with an Advanced Diploma in Commerce (Financial Accounting) in 1999. She is a Chartered Accountant with the Malaysian Institute of Accountants and is a member of the Association of Chartered Certified Accountants.

She started her career in 2000 as a tax assistant in a medium-sized tax firm. During her tenure in tax, she was in charge of ensuring tax compliance by individuals, medium to large private companies and public listed companies, while also providing strategic tax advisory services to optimize operational structures. Additionally, she contributed her expertise to special ad-hoc assignments.

Ms. Li Chain joined a medium-sized audit firm in 2001 and left in 2010 as a Senior Manager. She was responsible for the planning and reviewing of the audits of public listed companies, private limited companies and foreign owned entities involved in a wide range of industries. She also led special assignments such as reporting accountants' work in initial public offerings and financial due diligence reviews.

She then joined a joint venture company between a Malaysian Government-Linked Company (GLC) and a Middle East company in 2011 as its Group Finance Manager, and subsequently a Malaysian public listed company as its Senior Group Finance Manager.

Prior to her appointment as an Executive Director of Hong Seng Consolidated Berhad, she was the Finance Director/Executive Director of a listed company in ACE Market where she led the finance team and oversees the financial aspects of the said listed company.

Ms. Li Chain does not hold any directorship in other public companies and listed issuers.


Age 49

Nationality 

Gender Female

Date Appointed to the Board 1 September 2022
Attendance at Board meetings held during the financial period ended 31 March 2024 7/7

She does not have any family relationship with any Director and/or major shareholder nor have any conflict of interest with the Company. She does not hold any shares in the Company and its subsidiary companies. She has not been convicted of any offences within the past five (5) years other than traffic offence, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



◀ LEONG SENG WUI
 • Executive Director

Mr. Leong Seng Wui ("Mr. Francis Leong"), has been an entrepreneur in Information and Communications Technology ("ICT") industry for over 24 years, currently serves as the Executive Director of Revenue Group Berhad. His journey began post-graduation from Binary Business School, where he entered the ICT retail sector and quickly became a pioneering Malaysian technopreneur. His early ventures focused on telco and mobile retailing, earning him several accolades, including the Golden Bull award and recognition as a leading retailer in the ICT sector.

Before assuming his current role at Revenue Group Berhad, Mr. Francis Leong made impactful strides in the ICT product distribution sector, leading to the successful acquisition of his company by a listed group. His profound expertise was further acknowledged during his tenure with 1 Utopia Berhad Group, now known as XOX Networks Berhad, where he significantly boosted their market presence and provided strategic advice on ICT product strategies. Additionally, Mr. Francis Leong's versatile experience extends to manufacturing, property development, and food and beverage segments showcasing his diverse skill set in various industry domains.

At Revenue Group Berhad, Mr. Francis Leong leverages his extensive background to steer the company's strategic direction and growth. His leadership is pivotal in shaping the company's advancements in the ICT sector, underscoring his integral role in its executive management. His tenure reflects a commitment to innovation and excellence in the ever-evolving ICT landscape.

Mr. Francis Leong is a substantial shareholder of the Company. Currently, he is also the Executive Director of Revenue Group Berhad. He also holds directorships in several private limited companies.

He does not have any family relationship with any Director and/or major shareholder nor have any conflict of interest with the Company. He has not been convicted of any offences within the past five (5) years other than traffic offence, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.



Age
44



Nationality



Gender
Male



Date Appointed to the Board
8 April 2024

Attendance at Board meetings
 held during the financial period
 ended 31 March 2024
N/A

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



YAP KIEN MING

- Independent Non-Executive Director
- Audit Committee (*Member*)
- Nomination Committee (*Chairman*)
- Remuneration Committee (*Chairman*)



Age
59



Nationality



Gender
Male



Date Appointed to the Board
19 September 2018

Attendance at Board meetings
held during the financial period
ended 31 March 2024

7/7

Mr. Yap Kien Ming ("Mr. Yap") graduated with a Bachelor Degree of Arts in Economics and Marketing from the University of Brock, Canada.

He began his career as a Strategic Management Executive with Kein Hing Industries Sdn. Bhd., where he served for five (5) years. During this time, he had started and headed the Purchasing Department. In addition, Mr. Yap had also put in place a stock system besides heading the Purchasing Department. He was also responsible for an integrated stamping, machining and surface grinding line and Sales and Marketing with clients that included Sanden, Sharp, Nippondenso, Matsushita, Clipsal and PDL Switch Gear Manufacturers. He was also responsible for a Licensed Manufacturing Warehouse, a joint venture between three (3) Japanese manufacturers, namely Tomen, Matsushita, Meiwa and Kein Hing Industries Sdn. Bhd.

Subsequently, he joined Polychem Sdn. Bhd. as its Regional Product Manager which is a manufacturers agent for hand tools, cutting tools and non-ferrous materials from the United Kingdom, Europe and Australia, where he had served a wide range of industries from automotive, mould and die, oil and gas and electrical, electronics manufacturers.

In the last decade, he was appointed as the Regional Sales Manager for Garryson (now under ATA Tools.), and responsible for the Sales and Marketing for China, Indonesia, Malaysia, Singapore and Thailand. During his tenure, he was involved in Business Development, Sales and Distribution channels, Technical Training and Support to dealers around the region.

Mr. Yap has vast experience in Technical Sales and Cross Cultural marketing in Asia and his primary focus was in the oil and gas, aerospace and shipping industry and is now the Director in Takaso Trading Sdn. Bhd.

Mr. Yap does not hold any directorship in other public companies and listed issuers.

He does not have any family relationship with any Director and/or major shareholder nor have any conflict of interest with the Company. He does not hold any shares in the Company and its subsidiary companies. He has not been convicted of any offences within the past five (5) years other than traffic offence, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



◀ LEONG KAM SOON

- Independent Non-Executive Director
- Audit Committee (*Chairman*)
- Nomination Committee (*Member*)
- Remuneration Committee (*Member*)



Age
66



Nationality



Gender
Male



Date Appointed to the Board
26 August 2021

Attendance at Board meetings
held during the financial period
ended 31 March 2024
7/7

Mr. Leong Kam Soon ("Mr. Leong") is a fellow member of both the Association of Chartered Certified Accountants and the Chartered Institute of Management Accountants. He is also a member of the Malaysian Institute of Accountants.

Mr. Leong was the Deputy Director of Finance of Stamford College Berhad from 2001 before being promoted as the Chief Financial Officer in October 2007. He held the position till September 2014 having served in Stamford College Berhad for well over thirteen (13) years before deciding to pursue a career as a freelance Financial Consultant. He has retired since 2020.

Prior to joining Stamford College Berhad, he worked as a Finance Manager for a multi-national company specialising in the manufacture of packaging material for beverages and was posted to the People's Republic of China ("PRC") for seven (7) years. He returned to Malaysia in July 2001 and joined Stamford College Berhad on 20 August 2001 as its Deputy Director of Finance. Prior to the PRC employment, he was the accountant for a subsidiary of a listed plantation group for three (3) years.

Mr. Leong does not hold any directorship in other public companies and listed issuers.

He does not have any family relationship with any Director and/or major shareholder nor any conflict of interest with the Company. He does not hold any shares in the Company and its subsidiary companies. He has not been convicted of any offences within the past five (5) years other than traffic offence, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.

PROFILE OF THE BOARD OF DIRECTORS (CONT'D)



◀ DATO' KANG CHEZ CHIANG

- Independent Non-Executive Director
- Audit Committee (*Member*)
- Nomination Committee (*Member*)

Dato' Kang Chez Chiang ("Dato' Kang") graduated with a Diploma in Police Science from the University of Kebangsaan Malaysia. He is a retired Deputy Commissioner of Police of the Royal Malaysia Police where he had served the Police Force for 39 years and 6 months.

He joined the Royal Malaysia Police in 1979 and served under General Operation Force Department and Narcotics Crime Investigation Department ("NCID"). He has held several posts in NCID, among those are Head of the Intelligence Section, Head of Narcotics Crime Investigation Department Kuala Lumpur Police Contingent, Principal Assistant Director of Intelligence and Operations, Deputy Director of Intelligence and Operations.

Dato' Kang's experience in intelligence investigation, human management and operational skills in the field of NCID works has enabled him to act at an advisory level on drug matters to Police Directors.

Currently, he is also an Independent Non-Executive Director of Velocity Capital Partner Berhad (*formerly known as CSH Alliance Berhad*).

He does not have any family relationship with any Director and/or major shareholder of the Company nor any conflict of interest with the Company. He does not hold any shares in the Company and its subsidiary companies. He has not been convicted of any offences within the past five (5) years other than traffic offence, if any, as well as any public sanctions or penalties imposed by the relevant regulatory bodies.



Age
66



Nationality



Gender
Male



Date Appointed to the Board
1 September 2022

Attendance at Board meetings
held during the financial period
ended 31 March 2024

7/7

PROFILE OF KEY MANAGEMENT PERSONNEL



LEE LI CHAIN
Executive Director



**CHRISTOPHER
CHAN HOOI GUAN**
Executive Director



**LESTER
CHIN KENT LAKE**
Executive Director



LEONG SENG WUI
Executive Director

The profiles of the Key Senior Management are set out in their respective profile on pages 6 to 9 of this Annual Report.

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES



The global economy continued to experience considerable challenges and macroeconomic divergences. While remaining resilient, its growth momentum has moderated and is uneven across countries and regions amid the ongoing impact of tighter global monetary conditions, persistent underlying inflationary pressures, as well as heightened geopolitical uncertainty and geoeconomic fragmentation.

The Malaysian economy continued to grow in 2023, albeit at a moderate pace, underpinned by resilient domestic private sector activities against the backdrop of challenging global trade. Despite a challenging external environment, Malaysia's economy grew by 3.7% on the back of slower global trade and tighter monetary policies. The moderate growth was in line with expectations following the reopening of the economy and sizeable policy measures that bolstered growth in 2022.

In spite of this unprecedented upheaval in the markets we operate in, the Group foresees that the economic and business risks are relatively short-term in nature, where we remain confident that demand for the Group's services and products will normalise in the mid-to-long term. While acknowledging the hurdles faced, we remain committed to continuous improvement and sustained growth, guided by a steadfast dedication to our objectives and stakeholders.

In navigating the headwinds above, we are taking a cautious and measured approach while ensuring that we have the right strategies, talents and resources to navigate any economic scenarios which we may encounter.

GROUP'S BUSINESS AND OPERATIONS OVERVIEW

Hong Seng Consolidated Berhad ("Hong Seng" or "the Company") is an investment holding company. Together with its subsidiaries ("the Group"), the Group is principally involved in the business of gloves manufacturing and trading, financial services and healthcare, amongst others providing diagnostics and health screening laboratory services and wholesale of pharmaceutical, medical and healthcare products via a digital healthcare platform.

The escalating cost of raw materials, turbulence of supply and demand as well as heightened competition continued to persist in 2024. Amidst macroeconomic and operational challenges, we remained dedicated to growth, innovation, and the long term success of the Group. We strived to uphold excellence in every aspect of our operations, ensuring that our offerings consistently met and exceeded the expectations of our clients.

Throughout the financial period, the Group continues to prioritise on the following core areas:

- improving the operational efficiency as well as revamping its non-profitable business lines;
- continued cost optimisation through digitalisation and automation;
- improving revenue and profitability through innovative solutions that align with the evolving needs of the market; and
- new investments or business opportunities to increase our revenue base and earnings.

Continuing our quest for expansion, the Group maintains a vigilant stance in pinpointing fresh investment and business prospects that adhere to its fundamental investment benchmarks. Our relentless pursuit aims to broaden income streams and bolster earnings through new business opportunities and ventures.

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

FINANCIAL RESULTS HIGHLIGHTS

For the financial period ended 31 March 2024 ("FPE 2024"), the Group's revenue was recorded at RM22.42 million. This was mainly contributed by:



Due to the change of financial period end of the Group from 30 September 2022 to 31 March 2024 with an 18-month financial period, there is no comparative financial information available for the FPE 2024. Overall, the Group incurred loss before tax ("LBT") of RM99.36 million and loss after tax attributable to the owners of the Company of RM91.84 million for the FPE 2024.

In the meantime, the Group also incurred operating expenses of RM67.30 million which consisted of selling and distribution expenses, administration expenses, other expenses and finance costs.

The total assets of the Group as at 31 March 2024 stood at RM345.87 million in comparison to RM431.94 million as at 30 September 2022, representing a decrease of 19.93%.

The non-current assets of the Group as at 31 March 2024 stood at RM218.85 million in comparison to RM151.63 million as at 30 September 2022, representing an increase of 44.33%. The increase was mainly due to the acquisition of 32.61% equity interest in Classita Holdings Berhad ("Classita"), a public company listed on the Main Market of Bursa Malaysia Securities Berhad ("Bursa Securities"), which principally engaged in the businesses of property development and construction, manufacturing and sales of undergarments as well as direct selling and retail of ladies undergarment, childcare and maternity products and other consumer products, and other investments in quoted securities during the financial period.

The overall decrease in current assets was mainly due to the collection from trade receivables as well as the used of funds for investment activities of the Group.

For FPE 2024, the Group's total liabilities stood at RM40.94 million from RM40.82 million while the Group's non-current liabilities was higher at RM21.16 million from RM13.81 million in the 12-month financial year ended 30 September 2022 ("FYE 2022") due to the increase in lease liabilities during the financial period as a result of the lease of gloves factory.

Next, the Group has lowered its current liabilities to RM19.79 million for the FPE 2024 from RM27.01 million recorded in the FYE 2022 mainly due to the decreases in trade payables and tax payables, which stood at RM2.59 million and RM0.2 million, respectively, at 31 March 2024.

SEGMENTAL RESULTS HIGHLIGHTS

The Group's healthcare segment contributed approximately RM8.44 million in revenue and LBT of RM18.31 million respectively. The loss was mainly due to impairment of goodwill and plant and equipment and inventory written-off resulting from the weak performance in the healthcare segment.

The Group's financial services segment is primarily the provision of moneylending through its wholly-owned subsidiary, Hong Seng Capital Sdn. Bhd. ("Hong Seng Capital"). During the FPE 2024, the financial services segment generated RM7.92 million in revenue and a profit before tax of RM4.66 million. The moneylending business has extended RM97.18 million of loans to third party corporate and individual loan debtors in the ordinary course of its business as a licensed moneylender at the financial period end.

Moving on, the Group's glove manufacturing business based in Kedah has recorded a revenue of RM6.02 million and a LBT of RM73.55 million respectively. The revenue was derived from the sales of the gloves. The loss was mainly due to stiff competition resulting in lower revenue coupled with fixed and rising labour and overhead costs as well as the financial period end's impairment assessments on plant and equipment and receivables. The impairment on plant and equipment was resulting from the loss encountered in the gloves segment. Whereas, the impairment of receivables was mainly due to the soft market demand over the gloves products has caused the saleability of products purchased by customers affecting the recoverability.

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

OPERATIONS REVIEW

Gloves Manufacturing Business

The Group is constantly seeking opportunities to expand in our chosen category and diversify our customer base. The Group is optimistic about the substantial untapped potential within our business, recognising the potential for growth and profitability in this market and are committed to leveraging its strengths to capitalise them.

Our strategic priorities involve improving our product offerings, onboarding new customers, and formulating a comprehensive long-term growth plan to seize potential business opportunities. Through the above, the Group aims to accelerate time-to-market for products to broaden our revenue base, alongside with our other existing businesses.

With this in mind, the Group plans to capitalise on the existing gloves market by including the production of natural rubber gloves moving forward. The Group currently consists of total 8 production lines producing Nitrile Butadiene Rubber ("NBR") gloves. The Group is in the midst of modifying its 2 production lines to diversify from NBR gloves production into natural rubber gloves production. The shift to natural rubber gloves production is part of the Group's strategy to overcome current challenges in the nitrile glove market, such as oversupply and intense competition. By diversifying the Group's product offerings and tapping into new target markets in Asia, the Middle East, and South America with high demand for natural rubber gloves, the Group aims to align its production capabilities with market needs. Leveraging its geographic advantage, due to its close proximity to Thailand, the largest rubber producer in the world, the Group aims to enhance its cost-effectiveness, competitiveness, and ensure sustainable growth. The Group expects to commission the 2 natural rubber gloves production lines in the 3rd quarter of Year 2024.

The availability of raw materials from neighbouring country in Thailand has enabled the Group to tap into the strategic supply network whereby close proximity would mean lower shipping costs and faster delivery times which enhances the overall supply chain efficiency, allowing for quicker adjustments to production schedules, and thus helping the Group to respond swiftly to market demands.

The natural rubber gloves segment also allows for better price recovery as there are lesser competition in this segment both locally and globally. The rubber glove industry is also poised for significant shifts in market dynamics, following the United States' decision to increase tariffs on Chinese medical and surgical gloves from 7.5% to 25% in 2026. This tariff change could further strengthen Malaysian glove manufacturers position in the US market, providing a significant boost to the industry.

According to a report by MarketWatch: Rubber Gloves Market-Global Outlook and Forecast 2024-2029, the global rubber gloves market size by revenue was valued at USD 46.04 billion in 2023 and is expected to reach USD 105.51 billion by 2029, growing at a CAGR of 14.82% during the forecast period¹.

With viable alternative options for the above industry, this bodes well for the Group's strategic plan due to vast untapped market moving forward.

Note:

1 – Businesswire: Global Rubber Gloves Market-Outlook & Forecast 2024-2029

Financial Services Business

Medium to long term growth of alternative lending in Malaysia remains strong. According to data published in the Malaysia Alternative Lending Market Business and Investment Opportunities Databook, alternative lending market in Malaysia is expected to grow from US\$349.4 million in 2022 to reach US\$ 1.03 billion by 2027. Alternative lending adoption is expected to grow steadily over the forecast period, recording a CAGR of 21.5% during 2023-2027.

According to RAM Rating Services Berhad, loan growth is projected to moderate at 5% in 2024, in line with the anticipated gradual economic recovery. The growth prospects of the lending market in Malaysia, particularly in the alternative lending market are therefore encouraging, partly due to the strict lending requirements imposed by licensed financial institutions.

The moneylending arm of the Group, Hong Seng Capital currently and/or plan to extend its moneylending services to, amongst others, investment holding companies, small and medium enterprises and start-up entrepreneurs of all business segments which it perceives to be underserved by licensed financial institutions for various purposes such as personal financing, working capital, investment, business start-up and expansion, project financing and others, with or without secured collaterals of customers.

In view of the above, the Group foresees further growth opportunities for its moneylending business, especially with the hike in the Overnight Policy Rate in year 2022 and 2023.

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

OPERATIONS REVIEW (CONT'D)

Healthcare Business

The growth prospects of the healthcare sector over the longer term will continue to be underpinned by an ageing population, rising affluence and rising cases of chronic diseases globally. According to a local research house, global healthcare expenditures are projected to reach USD 10 trillion by 2026, rising from USD 8.4 trillion in 2022². On the local front, the Government has allocated a total of RM41.2 billion to the Health Ministry under its Budget 2024. This represents a significant increase of about 13.5 per cent from its previous year of RM36.3 billion, which augurs well for the sector as consumers take a more proactive stance towards their health and well-being especially in the aftermath of the Covid-19 pandemic.

According to a report published by Vision Research Reports in March 2024, the global diagnostic testing market size was estimated at USD 210.58 billion in 2023 and is expected to be worth around USD 284.38 billion by 2033 with a compound annual growth rate ("CAGR") of 3.05% from 2024 to 2033. Malaysia diagnostic labs market is anticipated to reach USD1,643.30 million by 2027 based on a report by TechSci Research published in July 2022.

The rise in non-communicable diseases ("NCDs") such as heart disease, cancer, chronic respiratory disease, and diabetes which are the leading causes of death worldwide is increasing the demand for regular check-ups and multiple tests. In Malaysia, the prevalence of NCDs has increased during the last two decade³. People with NCDs are more likely to experience additional consequences that can dramatically deteriorate their health.

As such, the growing aging population and the rise of NCDs in the country will lead to more visits to diagnostic centers for disease diagnosis before hospitalisation, enhancing the growth of the Malaysia diagnostic labs market.



The expanding interest in genetic testing also drives the market. Genetic testing helps patients make significant choices in the treatment or early discovery of genetic problems. The high occurrence rate of irresistible illnesses in Malaysia, as well as developing attention to the significance of early diagnosis and accuracy in test analysis, is expanding the patients' visits to diagnostic laboratories for testing.

Meanwhile, the Digital Health data by Statista which was recently updated in June 2024 highlighted that the revenue in the Digital Health market is projected to reach USD 171.90 billion in the year 2024.

The Digital Health market encompasses a broad scope of technologies that range from mobile health apps to connect wearable devices to telemedicine. The ubiquitous use of the internet and smartphones along with the shifting tendency towards healthier lifestyles and increased well-being have sparked significant growth in this market. The COVID-19 pandemic has positively accelerated growth in the Digital Health market by making healthcare and self-monitoring of health conditions more accessible to the public.

The projected revenue in the Digital Health market in Malaysia according to data by Statista is estimated to reach US\$534.10m in 2024. It is expected to experience an annual growth rate of 9.89% (CAGR 2024-2029), leading to a projected market volume of US\$855.70m by 2029. The average revenue per user ("ARPU") is forecasted to be US\$43.96.

At present, the Group is dedicated to amplifying sales for the array of products and services in this segment. This encompasses a diversified range of general healthcare-related offerings which include laboratory diagnostic services, genomics and biochemistry screening and distribution of other healthcare and pharmaceutical products via digital healthcare platform solutions connecting consumers, health practitioners and e-marketplace.

Notes:

2 – Research by Kenanga, Sector Update, 7 March 2024

3 – National Library of Medicine, 20 June 2014

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

OPERATIONS REVIEW (CONT'D)

Strategic Investment

The Group consistently seeks promising business ventures and opportunities to enhance its current portfolio. As part of its investment approach, the Group intends to strategically hold stakes in publicly listed companies. Investments made are considered to have synergistic potential that can be realised through innovative approaches and collaborative efforts.

On 14 July 2023, the Group acquired a substantial stake in Classita, representing 32.61% equity interest in Classita for a total cash purchase consideration of RM60.32 million. Classita is a public company listed on the Main Market of Bursa Securities. Classita and its subsidiaries ("Classita Group") are principally engaged in the businesses of property development and construction, manufacturing and sales of undergarments as well as direct selling and retail of ladies undergarment, childcare and maternity products and other consumer products.

The investment is viewed as an opportunity for Hong Seng to invest in Classita Group's undergarments manufacturing and property development and construction businesses.

For undergarments manufacturing business, Classita Group has been continuously seeking to penetrate into new export markets, while optimising operational costs through the strategic partnerships in Myanmar and Indonesia. Classita aims to enhance its presence beyond Europe, Canada, USA, and Hong Kong markets to expand its business and customer base. Classita Group's manufacturing business has been the major contributor to its revenue, accounting for more than 85% of its total revenue for the past 3 years. This business is expected to remain as the major contributor to its revenue. Classita Group has been exporting lingerie to amongst others, Germany, Canada, United States of America, and Hong Kong and is continuously seeking to penetrate other countries. To date, Classita Group has received enquiries to manufacture OEM products from Turkey and France.

The Malaysia lingerie market is anticipated to witness a CAGR of 4.2% during the forecast period, 2020-2026. The rising demand for fashionable, comfortable and stylish lingerie products across Malaysia due to growing awareness about fashion trends among women is driving the growth of the Malaysia lingerie market. Additionally, increasing disposable incomes coupled with changing lifestyles are some other factors that have led to an increase in spending power on consumer goods like lingerie items in Malaysia. Furthermore, easy availability of various products through online retail channels has further encouraged consumers inclination towards purchasing branded and fashionable innerwear garments from renowned local as well as international e-commerce players operating in Malaysia.

Moreover, manufacturers are focusing on developing new designs by incorporating modern technology like seamless manufacturing processes which can offer better comfort along with more aesthetic appeal for customers at competitive prices. All these factors are expected to bolster the growth of the Malaysia lingerie market during 2020-2026⁴.

Additionally, Classita Group has realigned its property business following the gradual recovery of the property sector and is actively seeking for potential development projects to expand its footprint. Based on the State of Pahang Structure Plan 2050 as prepared by the Pahang State Government, the demand for housing is projected to increase by an average of 7% to 8% in the Bentong District⁵.

Thus, Classita Group's ongoing development project in Bentong, Pahang, which focuses on healthy living themes aligns with current market demand, indicating growth potential. Classita Group's strategic land banks with potential high development value are also expected to further contribute to its promising prospects in the property industry.

Classita Group also intends to expand its property development and construction segment via various other initiatives such as acquisition of companies involved in the property development and construction segment as well as acquisition of investment properties in strategic locations or acquire land banks for potential development.

Hong Seng believes that the investment will bring sustainable value and benefits to the Group, considering Classita Group's aforementioned potential and its prospects. Classita Group's existing property development projects and strategic land banks with potential high development value, as well as its healthy cash flow position after the completion of rights issue exercise are expected to contribute to Classita's future performance and value, which in turn is expected to enhance the value of the investment made by the Company.

Note:

4 – 6Wresearch: Malaysia Lingerie Market (2024-2030)- Growth, Analysis, Outlook, Companies, Value, Forecast, Share, Size, Industry, Revenue & Trends

5 – Abridged Prospectus dated 14 June 2023, Classita Holdings Berhad

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

RISK MANAGEMENT



Credit Risk

The Group's exposure to credit risk arises primarily from our financial services segment. The loans provided range from secured and unsecured loans, individual loans, to enterprise loans. Due to financial difficulties and limited cash flow, there is a chance that the borrower will postpone or default on the repayment scheduled.

The Group manages its credit risk exposure of receivables by assessing counterparties' financial standings on an on-going basis, and credit checks using a more stringent process of vetting customer's profiles. The Group will request for collateral from the borrower if the Group assesses the borrower to be of higher risk.

The uncertain global and modest domestic economies potentially pose a challenge to the Group's credit risk in relation to longer collection periods and potentially lead to loss arising from irrecoverable trade receivables. The Group seeks to limit this credit risk through prudent management policies, continuous review and evaluation of the credit status of trade receivables and working closely with the Group's partners.

Fluctuation in the Market Value of Quoted Equity Securities

With the latest investment in quoted securities, the Group finds itself susceptible to the uncertainties and fluctuations in both local and global economies, which directly impact our capital markets. The profitability of the Group is highly dependent on the market price performance of quoted equity securities which lead to fluctuations in the fair value of the Group's investments. In addition to market volatility, our exposure to liquidity risks has increased due to our substantial holdings in publicly traded securities.

However, these risks can be partially alleviated through effective portfolio management and forward-thinking initiatives led by our Board, which are entrusted with the responsibility of ensuring that strategies are executed in alignment with the Group's best interest, thereby contributing to risk mitigation.

Risks Relating to the Supply and Demand of Rubber Gloves

As glove industry leaders continue to close up obsolete or inefficient production lines or decommission plants, the demand for gloves remains sluggish, as consumers are in the midst of depleting their existing inventory reserves. Additionally, the average selling price has remained low and stagnant. Compounding this, long sales cycles with major customers have resulted in the challenge of a sudden influx of numerous large orders simultaneously.

On the flip side, as consumers continue using up their inventories, the demand for gloves are slowly increasing. According to a local research house, the demand-supply situation of gloves will only start to head towards equilibrium in 2025, when there is virtually no more new capacity coming on stream, while global demand for gloves continues to rise by 15% per annum underpinned by rising hygiene awareness.⁶

Note:

6 – Research by Kenanga, Sector Update, 6 January 2023

MANAGEMENT DISCUSSION & ANALYSIS DISCLOSURES (CONT'D)

RISK MANAGEMENT (CONT'D)

Competition Risk

Similar to many businesses, the Group faces intense competition from existing competitors and new entrants. These competitions may impact the Group's market share, revenue, and profitability. The Group's ability to compete depends on many factors, amongst others, the principal elements of competition include quality, innovation in products and technologies, expertise, pricing, reliability, reputation, brand name, and customer service.

Although, there can be no assurance that the Group would be able to sustain its competitiveness against current and future competitors, the Board and the management are constantly devising strategies and plans to mitigate the impact of the competition on our businesses through various initiatives such as sales and marketing efforts, partnerships and government's support or endorsement.



Political, Economic and Regulatory Risk

The Group remains exposed to external risks brought upon by changes in the economic, political, and regulatory environments. Changes in interest rates, inflation rates, employment regulations, fiscal and monetary policies and regulations relating to taxation, licensing or business permits relating to our Group's business as well as other uncertainties may affect our financial condition and results of operations.

In the past, the COVID-19 pandemic and its resultant impact on the global economy, had temporarily impacted the Group's operations and financial performance. While we will continue to take measures to undertake careful financial planning and ensure efficient operating procedures, there is no assurance that adverse political and economic conditions will not materially affect our business. However, with our continuous effort to diversify and expand our customer base and business, we could reduce the susceptibility of our financial performance to any political, economic and regulatory changes.



FUTURE PLANS AND PROSPECTS

In navigating the complex economic and business landscape, Hong Seng is determined to bolster our strategic efforts while remaining attuned to prevailing market conditions. This approach serves as a cushion against potential adverse outcomes, at the same time creating the opportunity for the Group to deliver higher returns to our investors and shareholders.

While the overall impact remains to be seen, it is crucial to acknowledge the prevailing uncertainty and fragility in the global and domestic economic landscape. Various challenges, including inflationary pressures, currency depreciation, supply disruptions, and labour shortages, continue to contribute to a volatile and unpredictable business environment. However, we remain vigilant and are implementing strategies to mitigate potential risks, ensuring the resilience and adaptability of our operations.

The Board is cautious of the above and has since embarked on multiple initiatives in an effort to contain both the direct and indirect cost, as well as conducting strategic review on its business model and group structure in order to allow the Group to remain competitive.

To this end, the Group is continually in pursuit of potential business ventures and opportunities to increase our income streams while exercising due care in considering the potential risks and benefits associated with such venture and investments, and any undertakings of the above will be valued accretive to the Group. The Group is also actively exploring opportunities in other markets that offer potential for collaboration and cross-selling of products and services. Our proactive approach and vigilance will ensure that we maintain a strong and resilient stance, safeguarding the interests of our stakeholders.

DIVIDEND POLICY

The Board has not adopted a dividend policy. The Board does not recommend any payment of dividend for the FPE 2024.

SUSTAINABILITY STATEMENT



ABOUT THIS STATEMENT

Hong Seng Consolidated Berhad (“**Hong Seng**” or “**the Company**”) is proud to present its Sustainability Statement (“**Statement**”) for the financial period ended 31 March 2024 (“**FPE 2024**”).

This Statement presents our continued commitment towards sustainability and the impact on economics, environment, social and governance. It presents information and developments related to our practices and performances concerning sustainability matters during the financial period under review.

In this report, we will highlight and discuss Economics, Environmental, Social and Governance (“**EESG**”) related matters and our approach and efforts in issues concerning sustainability, particularly, improving and integrating sustainability into our day-to-day operations and business planning.

As a result, this Statement provides a clear and concise account of what sustainability means to us, and how Hong Seng will strive to deliver long-term value to our shareholders and stakeholders, especially our customers, suppliers, regulatory authorities, employees, and communities around us.

We encourage and welcome feedback from stakeholders in relation to our Statement by contacting us at esg@hongseng.com.my

Assurance Statement

The information presented in the Sustainability Statement has not undergone assurance by our internal audit function or any other independent sustainability or ESG assurance provider. The Board has reviewed the information provided herein and is satisfied that the information is supported with underlying records and arrived at based on management’s judgement.

Limitations

Hong Seng acknowledges that ongoing challenges in collecting certain data indicators and is actively working towards improving data collection and performance monitoring in relation to our sustainability matters.

SUSTAINABILITY FRAMEWORK AND STANDARDS

Hong Seng develops the Statement according to best practices sustainability framework, standards, and guidelines, such as –

- (i) Main Market Listing Requirements, issued by the Bursa Malaysia Securities Berhad (“**Bursa Malaysia**”),
- (ii) Sustainability Reporting Guidelines issued by Bursa Malaysia, and
- (iii) The United Nation’s Sustainable Development Goals (“**UNSDG**”).

Compliance with all relevant regulations and legislation and being sustainable is a core part of our business decision-making process, especially in our risk management planning.

SUSTAINABILITY STATEMENT (CONT'D)

SUSTAINABILITY APPROACH

We stress the importance of embedding sustainability into our business and approach towards our shareholders and stakeholders, such as our customers, suppliers, regulatory authorities, employees, and communities around us.

The sustainability approach of Hong Seng is based on the pillars of EESG which form the main pillars of sustainability. The emphasis is equal to incorporate economic, environmental, social and governance factors into our day-to-day operations and decision-making in our business planning.

The negative impact from the Covid-19 pandemic over the last 3 years reminded Hong Seng and its subsidiaries (“the Group”) of the importance of being sustainable in ensuring our survival during a crisis, enhancing our risk management outlook and the importance of our stakeholders especially in taking care of our employees and communities around us, which will provide us the platform to plan on a sustainable basis.

We ensure all our internal stakeholders are aware of their commitment to sustainability, in terms of the approaches and initiatives. Hence, we continue to encourage our directors and employees especially our Head of Divisions and departments to attend seminars, workshops and talks related to sustainability or EESG matters that are relevant to our business planning, risk management and business operations.

REPORTING SCOPE

This Statement covers the sustainability performance of the Group and all its active ongoing business within Malaysia during FPE 2024, unless stated otherwise.

The core business segments of the Group are as follows:

	(i) Investment Holding Segment Investment holding
	(ii) Healthcare Segment Marketplace medical diagnostic and research laboratory and wholesale of pharmaceutical and medical goods
	(iii) Financial Services Segment Moneylending
	(iv) Glove Segment Manufacturing and trading of glove

The functional currency for the Group is in Ringgit Malaysia with “RM” sign. The group structures as shown in page 3 of this Annual Report.

SUSTAINABILITY GOVERNANCE STRUCTURE

Hong Seng believes in the importance of having a proper and functional governance structure. Most importantly, we recognize and conduct our business in a sustainable manner and in accordance with the applicable laws and principles of good governance and highest standards of integrity. We must ensure that the governance structure has transparency and accountability in executing its approach and strategies in sustainability, with clearly defined roles and responsibilities for effective decision-making and implementation.

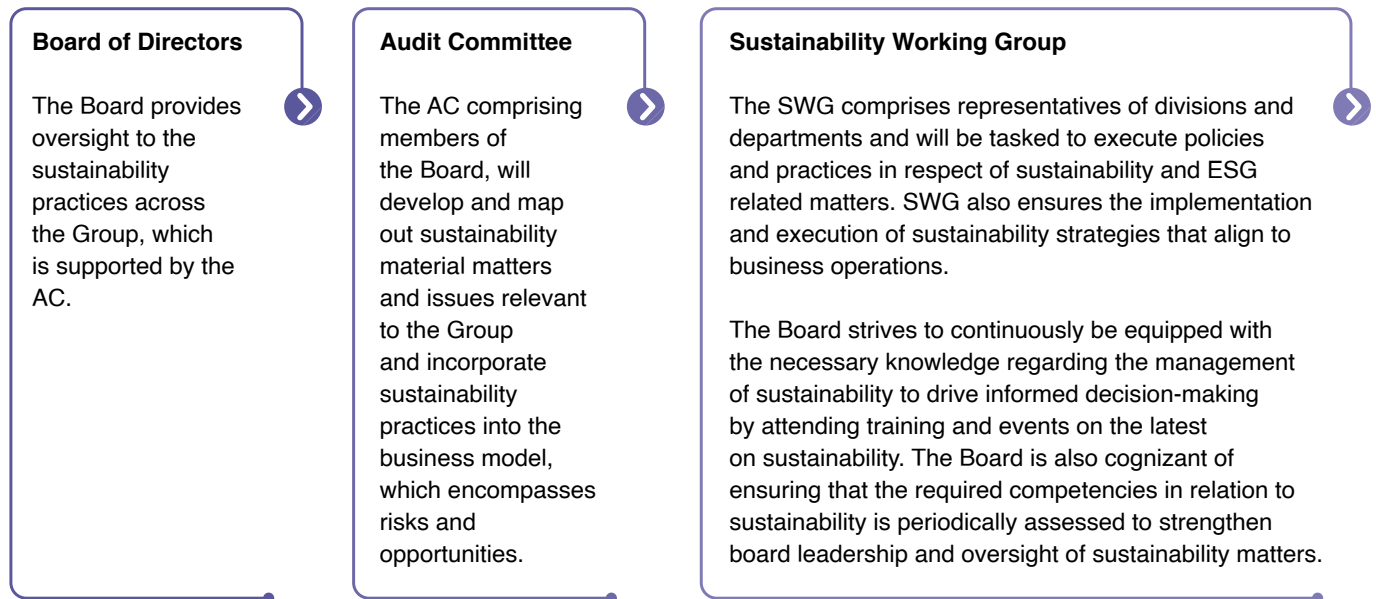
During FPE 2024, the Board of Directors (“Board”) was assisted by the Senior Management and divisional management in the oversight of sustainability practices. The Board carefully evaluated and determined all matters related to sustainability concerning the Group. The Management team was tasked in executing and implementing our sustainability initiatives.

Hong Seng looks to ensure sustainability is embedded across all aspects of its organization, the responsibilities of our Board and its Committees will be broadened to encompass elements of sustainability. The Board is ultimately responsible for the strategic direction of the Group on sustainability while being supported by the respective Committees, by virtue of delegation.

On 29 November 2023, the Board expanded the functions of their Audit Committee (“AC”) by incorporating matters concerning sustainability into its functions and duties. The AC will be involved in all sustainability-related matters across the Group, including decision-making process, implementation of actions and strategies, and overseeing ESG-related performance and measurements. The AC will be assisted by a Sustainability Working Group (“SWG”).

SUSTAINABILITY STATEMENT (CONT'D)

SUSTAINABILITY GOVERNANCE STRUCTURE (CONT'D)

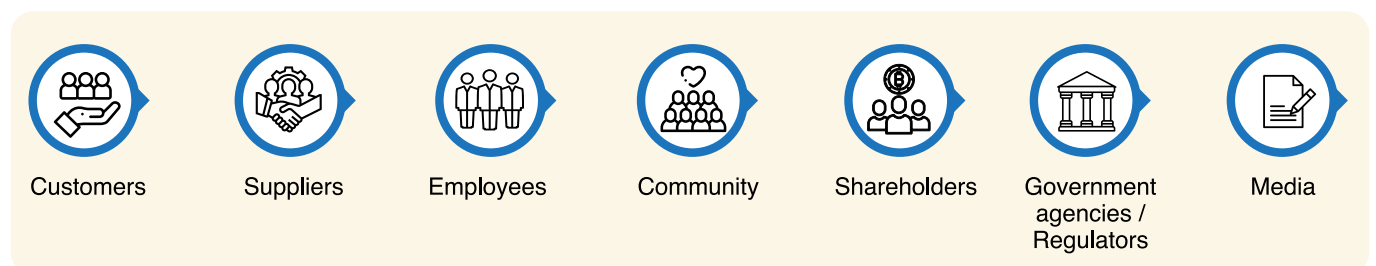


STAKEHOLDER ENGAGEMENT

Hong Seng believes in engaging with various groups of stakeholders regularly to provide updates to them on our latest sustainability initiatives and address areas of concern, as well as ensuring the Group conducts sustainable practices and create long-term value for our stakeholders. Most importantly, we aim to achieve a mutually beneficial outcome for the Group and our stakeholders.

Our stakeholders are our business partners and play a key role in providing solutions to our day-to-day business operations and growth amid the challenges in the local and global economy. As such, it is important for us to ensure that all legitimate concerns and expectations from our stakeholders are taken into consideration through established measures and processes.

The Group has a broad range of stakeholder groups that influence or are affected by our activities. Our key stakeholder groups include –



The stakeholder groups were identified on their different levels of influence over and dependence on our business. The Group aims to maintain constructive channels of communication with all our key stakeholder groups. As a result, we conduct regular engagements through formal and informal channels, and through these interactions, we identify relevant material issues and provide insights into emerging opportunities and risks whilst responding to their needs effectively.

Apart from that an open and transparent communication manner is always our key priority to maintaining our stakeholder trust. We operate our business especially in risk management, forcing us to be innovative in the way we conduct our business operations, especially in safeguarding the welfare of our employees.

SUSTAINABILITY STATEMENT (CONT'D)

STAKEHOLDER ENGAGEMENT (CONT'D)

Key Stakeholder	Engagement Channels	Area of Concerns	Our Response
Shareholders / Investors	- Annual general meetings - Annual reports, quarterly report & announcement - Audited financial statement	- Current and projected growth opportunities and threats - Funding needs - Risk management - Corporate governance - Sustainability/ESG-compliant and initiatives - Board representation and diversity - Succession plan	- Timeliness in information updates - Sound investor relation - Uphold good corporate governance - Clear outline sustainability strategies
Board of Directors	- Board meetings - Company organized events - Annual general meetings	- Corporate governance - Company strategy & direction	- Economic sustainability - Corporate governance and ethics
Customers	- Customer Satisfaction Survey ("CSS") - Customer Service Channel - Regular visits & meetings - Exhibitions	- Products and services quality - On time delivery - Stock availability - Customer relations management	- Quality of product and services - Response to customer service - Update on customer demand - Innovative and ESG driven design without comprising quality and value
Suppliers / Vendors	- Interviews - Feedback survey - Ongoing meetings and interactions - Suppliers/subcontractors' performance evaluation	- Enhancing ethical and fair procurement system - Pricing of services	- Improvement in procurement process and payment - Transparent procurement processes - Clear communication with suppliers
Employees / Management	- Workshop discussions - Induction training - Learning and development programs - Employee performance appraisal - Corporate memos, letters, and emails - Employee meetings - Employee engagement surveys - Computer screensaver - Monthly operation meeting - Weekly coordinating meeting - Ongoing meetings and interactions - Board and Board Committee meetings - Site visits - Job training	- Business growth and strategic direction - Health and safety at workplace - Inclusive work environment - Rewards and recognition for performance - Remuneration and benefits - Career development and upskilling opportunities - Employee satisfaction	- Promote transparent communication - Equal employment opportunities - Promote Diversity, Equity and Inclusion ("DEI") - Offer industry-competitive remuneration and compensation package - Ensure compliance with Occupational Safety and Health Act ("OSHA")

SUSTAINABILITY STATEMENT (CONT'D)

STAKEHOLDER ENGAGEMENT (CONT'D)

Key Stakeholder	Engagement Channels	Area of Concerns	Our Response
Community	- Corporate volunteering programs - Contributions and donations - Public community events	- Corporate social responsibility - Impact on community	- Budget and annual plan for CSR programs - Adoption of welfare programs
Government Agencies / Regulators	- Participation in government and regulatory events/ briefings/ dialogues - Inspections by local authorities and regulators - Audit and verification - Approvals and permits - Occupational safety and health - Environmental management and compliance - Training programs for employees - Meetings with employees - Meetings with management team responsible for compliance	- Regulatory compliance - Approvals and permits - Occupational safety and health - Environmental management and compliance - Tax transparency - Anti-Bribery & Anti-Corruption	- Regular review and monitoring of compliance requirements - Adoption of practices outlined in the Malaysian Code of Corporate Governance ("MCCG") - Show of support for government initiatives
Media	- Press releases - Press conferences - Media center official website	- Company's reputation - Business continuity - Transparency of the business	- Transparent and timeliness reporting - Strong rapport

SUSTAINABILITY THEMES

In our efforts to achieve a sustainable growth, we constantly monitor and deliberate on the industry trends, challenges faced in our business operations and stakeholder expectations, to produce sustainable long-term value to shareholders and stakeholders, especially the community around us.

We segmented sustainability management into three themes:

ECONOMICS	ENVIRONMENTAL	SOCIAL AND GOVERNANCE
Vendors/ suppliers/ Contractors Investors/ shareholders Customers	Waste Energy	Employees/ Management/ Directors Authorities Community Media
• Creating economic value for our stakeholders • Prioritising safety and productivity • Offering innovative solutions to our customers	• Respecting the environment • Consistently striving to lower our energy consumption and carbon emissions • Efficiently managing our wastage	• Prioritizing the safety and well-being of our people • Conducting business ethically and with transparency • Engaging with and supporting our communities • Compliance of all requirements from local councils and authorities

SUSTAINABILITY STATEMENT (CONT'D)

MATERIALITY ASSESSMENT

The Group is cognizant of the fact that our material issues can directly and indirectly impact on our ability to create long-term value for our stakeholders. We believe that conducting a full-scale materiality assessment during the financial period involving our key internal and external stakeholders will ensure that their interests and concerns are addressed.

The materiality assessment is to ensure that material matters are relevant and will remain relevant until the next materiality assessment. This will help in our approach to managing the sustainability risks and opportunities posed to our businesses and help us in ensuring that we prioritise the issues that have the greatest impact on our sustainability strategies and operation.

In the materiality assessment, we concluded that all our identified 15 material matters are aligned with our strategic priorities and stakeholder expectations. These matters were further categorized into sustainability themes, providing us with a focused approach to achieving our sustainability objectives. These were also benchmarked against our local and regional peers as well as considered emerging risks and relevant frameworks.

The result from the materiality assessment is presented in this Sustainability Statement.

Our top 15 material matters are as follows:

 Our Business Performance	 Our Environmental Management	 Our People	 Our Outreach
• Supply chain management • Business conduct, ethics & compliance • Financial performance • Product & service quality • Customer satisfaction & relationship • Technology, innovation & development	• Climate change & environmental issue • Material management • Energy management • Waste management	• Attracting, developing, rewarding & retaining employees • Labour practices & rights • Employee well-being, health & safety • Diversity & inclusion	• Local community & social impact



We strongly support the UNSDG's 2030 Global Goals where the 17 identified Goals are to lead communities, corporations, and governments into creating a better world for all of us.

During FPE 2024, we internally selected the relevance of our chose United Nation's SDG by taking into consideration our material matters, business strategies, principal risks, stakeholder influence and effects on our community.

SUSTAINABILITY STATEMENT (CONT'D)

MATERIALITY ASSESSMENT (CONT'D)



The 3 SDGs that were identified as the most relevant are as follows:

HONG SENG'S TOP THREE SDGS

Sustainable Development Goals	Definition	Key Stakeholders Impacted
	Ensure healthy lives and promote wellbeing for all at all ages	• Employees/ Management/ Directors • Community
	Promote sustainable economic growth, full and productive employment, and decent work for all	• Customers • Investors and shareholders • Employees/ Management/ Directors • Community
	Ensure sustainable consumption and production patterns	• Customers • Community • Vendors/suppliers/ Contractors

RISK MANAGEMENT

Hong Seng aligns its risk management process to build readiness and resilience through the identification and management of potential risks encountered by the Group. We have integrated our risk management with sustainability risks, in addition to our corporate, operational and financial risks. The Group ensures all identified risks remain within our capacity, capability and risk appetite through constant revision and monitoring by our designated risk owners and the AC.

Material Matters	Risks	Opportunities
Our Business Performance		
Supply Chain Management	Non-compliance by suppliers, vendors and contractors affects our ethical principles, and safety culture which could expose business to operational disruptions.	Sound procurement governance attracts and retains credible suppliers, vendors and contractors. Regular assessment includes ESG assessment to uphold our commitment and high standards towards ESG aspects.

SUSTAINABILITY STATEMENT (CONT'D)

RISK MANAGEMENT (CONT'D)

Material Matters		Risks	Opportunities
Our Business Performance (Cont'd)			
Business Conduct, Ethics & Compliance	Poor corporate governance practices tarnish reputation, credibility, and image.	Effective corporate governance practices enhance our reputation as a trustworthy group amongst stakeholders.	
Financial Performance	Poor financial performance threatens credit worthiness and business continuity, and loss of investment opportunity.	Sustainable financial performance attracts investors and delivers long-term value for all stakeholders.	
Product & Service Quality	Poor product and service quality lead to erosion of customers' confidence and long-term prospects. Reputation risk.	Excellent product and service quality attract long-term business prospects and higher margins.	
Customer Satisfaction & Relationship	Inability to meet customers' expectations impacts customers' confidence and loyalty that leads to lower revenue.	Regular and consistent customer engagements facilitate continuous improvement to meet customers' expectations.	
Technology, Innovation & Development	Cyber threats including loss of sensitive information such as intellectual property designs and breach of customers' data may lead to loss of customer trust and reputational harm.	Robust cybersecurity and improved data management protects critical internal information and data, such as customer data, and maintains trust in the Group.	
Our Environmental Management			
Environmental Issue	Non-compliance with environmental/ climate-related regulations leads to potential financial and trade penalties especially in export markets.	Effective mitigation and adaptation strategy ensures business continuity and potential trade barriers.	
Material Management	Failure to meet stakeholders' demand for the use of sustainable materials may result in a loss of sales and/or market share.	Opting for sustainable materials enhances brand image and attracts more sustainably minded customers and investors.	
Energy Management	Poor energy management leads to inefficiency, higher costs and potential scarcity of energy resources.	Efficient energy management may reduce operational costs and promote energy conservation behaviors.	
Waste Management	Non-compliance with environmental regulations results in consequences from authorities and activists. Reputation risk.	Waste reduction and increased resource efficiency can result in cost savings for operations.	
Our People			
Employees	Disengaged and underdeveloped employees contribute to lower productivity and performance. Unattractive remuneration and compensation packages affect employees' motivation.	Effective talent development and upskilling programs with attractive benefits packages enable employee retention and attraction of top-quality talent as well as contribute to a high-performance culture.	
Labour Practices & Human Rights	Breaches in labour practices and human rights practices lead to regulatory penalties, damage in reputation, and impact employee retention and culture.	Strong labor practices and human rights practices reinforce reputation as a responsible employer.	

SUSTAINABILITY STATEMENT (CONT'D)

RISK MANAGEMENT (CONT'D)

Material Matters	Risks	Opportunities
Our People (Cont'd)		
Employee Well Being, Health & Safety	Accidents and injuries lead to productivity loss, legal repercussions, and reputational damage.	Solid safety culture with conducive working environment improves employees' well-being and productivity and maintains reputation.
Diversity, Equity & Inclusion	Discriminatory employment practices damage reputation.	Inclusive, diverse, and empowering work culture attracts talents and bring a range of viewpoints that enhances the quality of decision-making.
Our Outreach		
Local Community and Social Impact	Business activities that negatively impact communities affect our social license to operate.	Regular engagements through community impact programs strengthen our relationship with local communities.

MATERIALITY MATRIX

Hong Seng views materiality as a critical part of our corporate sustainability strategy especially when we are in an environment that is volatile and unpredictable. We need to ensure that we can provide our stakeholders with the sustainability information most relevant to them and applicable to our business operations.

During FPE 2024, we conducted a systematic materiality assessment process, which was guided principally by the Bursa Malaysia Sustainability Reporting Guide and their toolkits, EESG indicators.

Our SWG identified all relevant sustainability aspects for our business, in conjunction with our operating context that was discussed earlier. We considered the following:

- issues that matter to the Group's business performance;
- issues that matter to the Group's stakeholders; and
- issues that presently have or could potentially have an impact on the Group.

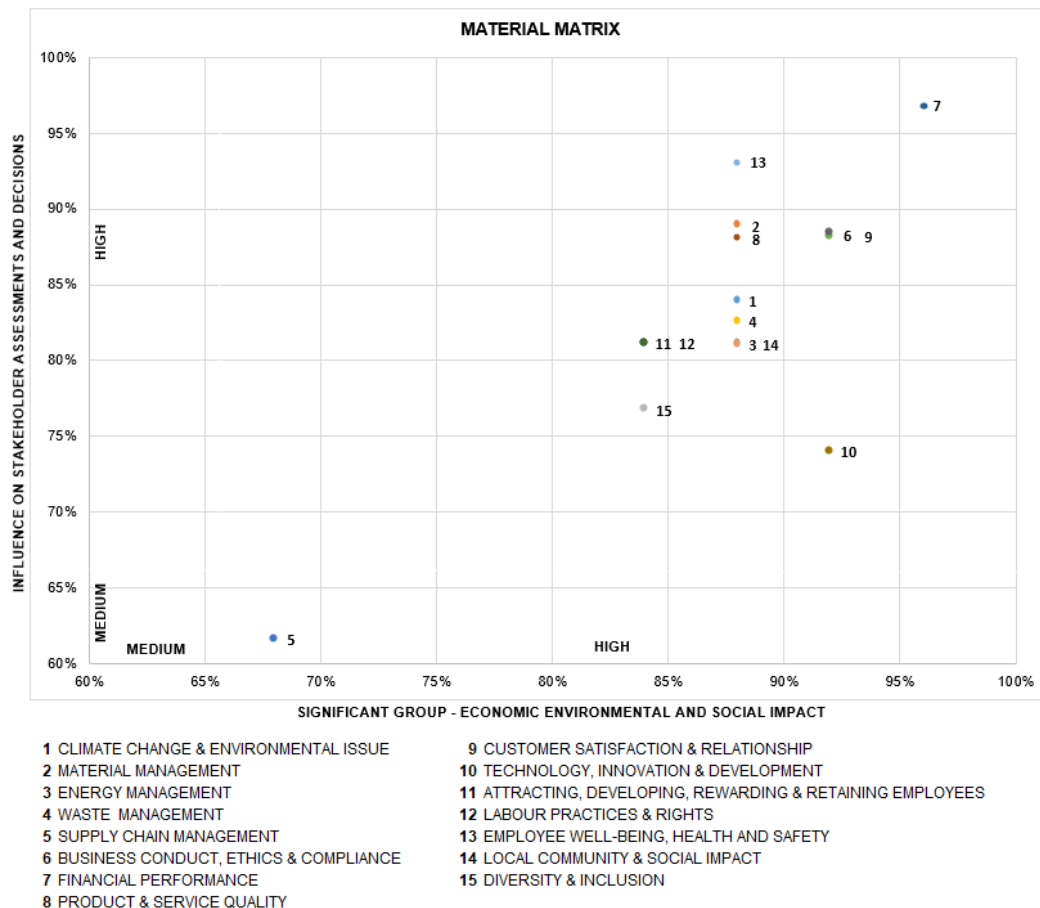
This initial analysis was then refined to identify 'material' sustainability aspects, based on:

- The significance of their impact on economic, environmental, and social matters; or
- The extent of their influence on the assessments and decisions of our stakeholders.

SUSTAINABILITY STATEMENT (CONT'D)

MATERIALITY MATRIX (CONT'D)

Our materiality matrix for FPE 2024 is shown below:



OUR BUSINESS PERFORMANCE

Economic Performance

Hong Seng is steadfast with its primary objective in maintaining ourselves as a major market player in our business segments. We continue to strive to maintain this goal by constantly delivering innovative and cutting-edge solutions to all our business segments.

The financial performance of the Group reflects our commitment to creating long-term value while supporting the sustainability agenda of the Group. We strive to promote economic development within our local communities while providing employment opportunities. As a responsible corporate citizen, Hong Seng wants to ensure long-term sustainable resilience among its stakeholders and itself.

Our approach to sustaining and registering robust economic performance is by ensuring our business strategy stays relevant to the current and foreseeable future trend, supported by the latest in technology advancement and a talented team of human resource, and funded by healthy cash flow and a robust balance sheet. We are also mindful of the identifiable and inherent risks faced by our businesses and take strategic steps in mitigating such risks.

SUSTAINABILITY STATEMENT (CONT'D)

OUR BUSINESS PERFORMANCE (CONT'D)



Financial Performance

	1 Oct 2022 – 31 Mar 2024 (18 months) RM'000	1 Oct 2021 – 30 Sep 2022 (12 months) RM'000	1 Apr 2020 – 30 Sep 2021 (18 months) RM'000
Revenue	22,422	198,401	146,969
Profit Before Tax	(99,365)	119,170	69,848
Profit After Tax	(101,275)	102,372	58,870
Shareholders' Fund	299,272	388,327	272,417
Total assets	345,872	431,939	336,625

The Group changed its financial year end from 30 September 2023 to 31 March 2024, resulting in an 18 months financial period. As a result, there is no comparative figure for the period-to-date.



Product And Service Quality

Hong Seng demonstrates its commitment to delivering high-quality and safe products and services in accordance with the standards upheld by certification bodies. Our products reinforce Hong Seng's presence and branding, encourage customer loyalty and promote business viability. Our customers are the core of our operations, and we work hard to ensure that our products and services remain highly relevant to their requirements and affordable.

We are cognizant that most of our customers are adopting ESG practices in their operations to ensure their businesses are conducted on a sustainable manner. Therefore, Hong Seng is to step up its adoption of ESG to align with the expectations of these major customers.

Healthcare Segment

The Healthcare segment consists of providing diagnostic and health screening laboratory services and wholesale of pharmaceutical medical and healthcare products via a digital healthcare platform. This segment has contributed a cumulative revenue of RM8.4 million but incurred a loss before tax of RM18.3 million during FPE 2024. The loss is mainly due to impairment of goodwill and plant and equipment and inventory written-off resulting from the weak performance in the healthcare segment.

Hong Seng is seeking various channels to increase revenue from its array of products and services.

Financial Services Segment

The Financial Services segment consists of moneylending business that provides loans to third party corporate loan debtors and individual loan debtors.

During the FPE 2024, the financial services segment was profitable by generating a profit before tax of RM4.7 million, on the back of a revenue of RM7.9 million. The moneylending business extended RM97.2 million of loans/advances to during the financial period under review.

Gloves Segment

The gloves segment is involved in the manufacturing and trading of gloves to the local and international markets. This segment contributed a cumulative revenue of RM6.0 million in the financial period-to-date. The gloves segment faced tremendously headwind during the financial period, mainly due to stiff competition from both local and international glove markets, resulting in lower revenue coupled with rise in labour and overhead costs. Higher operating cost and impairment resulted in the glove segment recording a loss before tax of RM73.6 million.

Hong Seng plans to focus on improving the performance of the gloves segment through cost improvement as well as directing efforts toward securing new potential customers.

SUSTAINABILITY STATEMENT (CONT'D)

OUR BUSINESS PERFORMANCE (CONT'D)



Product And Service Quality (Cont'd)

Gloves Segment (Cont'd)

During FPE 2024, the Group performed an impairment assessment on its plant and equipment, receivables, investments and goodwill, and had incurred impairment losses on the following:-

- (i) Impairment of goodwill in the healthcare segment because of the weak performance in the healthcare segment,
- (ii) Impairment of plant and equipment in the gloves segment,
- (iii) Impairment of receivables in the gloves segment, largely due to the soft market demand over gloves products, and
- (iv) Impairment of investment in an associate mainly due to unfavourable market sentiments and expectations in the segments in which the associate is operating.

The Group will continue to focus on effective cost management, accelerating the transformation into digitalization and sustainability across its operations to increase productivity and efficiency.



Technology, Innovation & Development

The Group provides a wide range of healthcare-related services such as providing of diagnostic and health screening laboratory services and wholesale of pharmaceutical medical and healthcare products via a digital healthcare platform. Our healthcare segment continues to utilize technology and innovation to develop products and services to cater to the latest demand of the healthcare sector.

We constantly seek technology and innovation on how to improve our delivery in the financial services segment while improving our risk assessment and management of delinquent borrowers and defaulters.

As a result, the Group constantly updates itself with the latest demand from its wide range of customers by incorporating the latest designs, innovations and technologies into our products and services. This is achieved through our periodic engagement with our stakeholders from customers, suppliers, and attending product & service developments and exhibitions around the world to keep abreast with the latest development and technology.

Certifications and Recognitions

The design and manufacturing process of the gloves segment fully complies with international compliance standards. These certifications enable us to demonstrate our compliance and commitment to high quality management practices of our healthcare-related services and manufacturing of gloves. The certifications are –

- (i) ISO 13485:2016 – Medical Devices – Quality Management Systems – Requirements for regulatory purposes, for manufacturing and distribution of non-sterile nitrile examination gloves. Certified since May 2022, and
- (ii) ISO 13485:2016 (EN ISO 13485:2016) for manufacturing and distribution of non-sterile nitrile examination gloves. Certified since July 2022.

SUSTAINABILITY STATEMENT (CONT'D)

OUR BUSINESS PERFORMANCE (CONT'D)



Customer Satisfaction

Hong Seng acknowledges our customers' value, and we pay high attention to our customers' experiences and feedback. Therefore, customer satisfaction is our high priority.

The Group plans to undertake a comprehensive customer satisfaction survey to enhance customer satisfaction feedback in our business development planning.

In ensuring our valued customers' satisfaction, we listen to the feedback from them by conducting annual customer satisfaction surveys and feedback. Apart from that, discussion was being held with customers on a periodic basis if needed or required by customers.

We understand the importance of these engagements where we will strengthen areas in which we receive praise while we strive to rectify areas receiving negative feedback and work on constructive suggestions. The annual customer satisfaction survey allows us to measure our performance in various aspects, for instance, product quality, delivery lead time, communication response, enquiry response, complaint response and courtesy from our staff.

Supply Chain Management



Hong Seng views its suppliers as critical partners in our business success, and any disruption to our supply chain is a key risk for our business. As a result, we always stress the importance of managing a sustainable and responsible supply chain. We trust that these sustainable practices will enable us to secure a stable sourcing of raw materials and services, enjoy cost competitiveness, and efficient and effective delivery of quality products and services.

The Covid-19 pandemic has strengthened the value of having an effective business continuity planning, including measures to ensure continuity of supply of our key inputs. We also extended our risk mitigation plan of our supply chain management for critical materials to multiple source and service providers to minimise the impact of the Covid-19 pandemic on our supply chain.

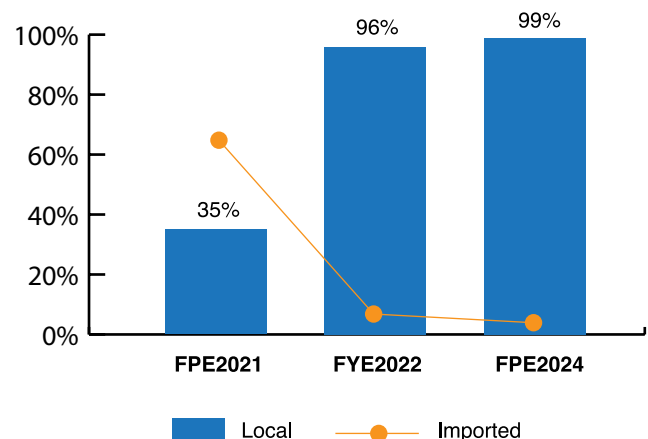
Sound supply chain management and solid procurement practices ensure our business grows on a solid platform. Suppliers are our valued business partners, and we always stress the importance of collaborating with them especially in project and product developments. This is to ensure we form a good understanding of our needs and their abilities to meet our product quality expectations.

The Group is guided by the following procedures and documents:

- Quality Procedure
- Quality Assurance and Production
- Purchasing Procedure
- New Vendor Selection and Registration
- Supplier Evaluation Form
- Vendor Performance Review
- Approval Suppliers List

The gloves segment adopts the ISO 13485:2016 Medical Devices Quality Management System.

Procurement



We constantly review and improve our supply chain management for all business segments, to ensure that we are cost efficient and effective, and sustainable in our operations.

During the FPE 2024, we sourced 99% of our procurements from local suppliers.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT

Hong Seng acknowledges that our business involves energy consumption and Green House Gases (“GHG”) emissions that will contribute to climate change impacts. We are aware that as a global corporate citizen, we must play a role and take on the responsibility to reduce our carbon footprint, in our effort to create a sustainable economy in a sustainable environment.

We aim to reduce our environmental footprints and establish operational resilience to deliver long-term value to our group, stakeholders and communities around us. We are guided by our Sustainable Framework and Policy, which outlines the Group’s objective to effectively manage and minimize the negative impacts arising from our day-to-day business operations.

Carbon Footprint

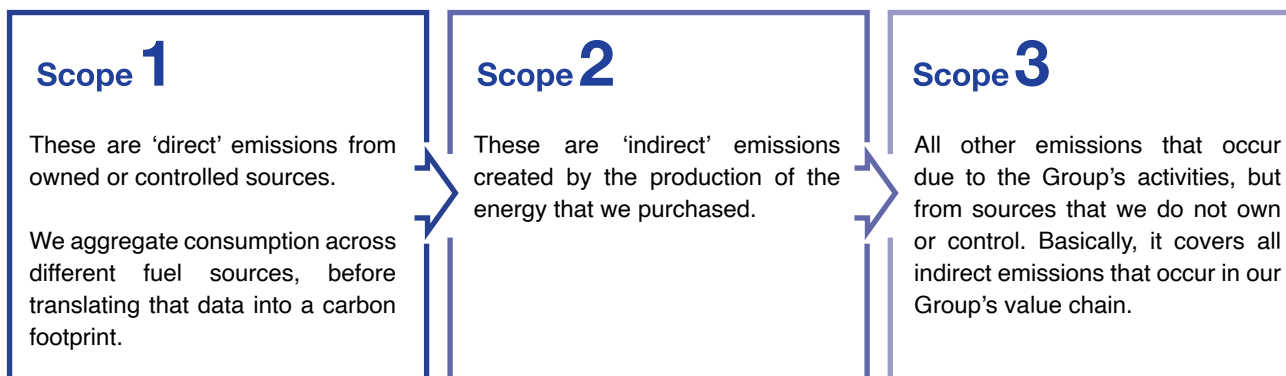
In the 12th Malaysia Plan (“12MP”) 2021-2025, Malaysia is committed to achieving net-zero GHG emissions by as early as year 2050. The commitment is guided by the pillars of sustainability, i.e. Economic Environment Social & Governance.

The Group is committed to support Malaysia’s aspiration to achieve carbon neutrality and be net zero by year 2050. We plan to formulate our roadmap in FYE2025 to reduce our carbon emissions. The roadmap will detail our aspiration and steps on how we plan to reduce our carbon footprint. We also plan to determine to what level products embodied carbon (a large part of Scope 3 carbon emissions) can be reduced by combining our targets (Scope 1, Scope 2 and Scope 3). As part of our sustainability drive, we will need the collective action of all our stakeholders to participate in our roadmap to help reduce carbon emissions.

Greenhouse Gas

In preparing our sustainability roadmap, the Group is taking priority in addressing the management of its GHG emissions, which are categorised into 3 groups or “Scopes”, according to the Greenhouse Gas Protocol (“GHG Protocol”), a widely used international accounting tool.

GHG Scopes



As a result, we will continue to explore initiatives to mitigate the negative environmental impacts generated by our business nature. Our priority will be to use sustainable materials and processes during our production process with as many eco-features and techniques as possible. Schedule waste management, water consumption, electricity consumptions and usage of petrol and diesel are given emphasis, as well as ensuring the compliance with the Department of Environment’s (“DOE”) regulatory requirements and standards.

The Group plans to reduce its carbon footprint with the following strategies –

- (i) Managing our emissions through continuous research & development and improving our process flow,
- (ii) Investing in low emissions and green technologies, and
- (iii) Leveraging in partnerships and collaborations with our stakeholders

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT (CONT'D)



Green Initiatives

The Group continues to encourage green initiatives in its working environment, such as utilizing high power factor LED lights and inverter-type air conditioning system, and the switching off lights and air-conditioning when there are no occupants in a certain area especially during long breaks and after working hours. In addition, we also periodically upgrade our office equipment, computers and laptops to more energy efficient models and with power-saving features.

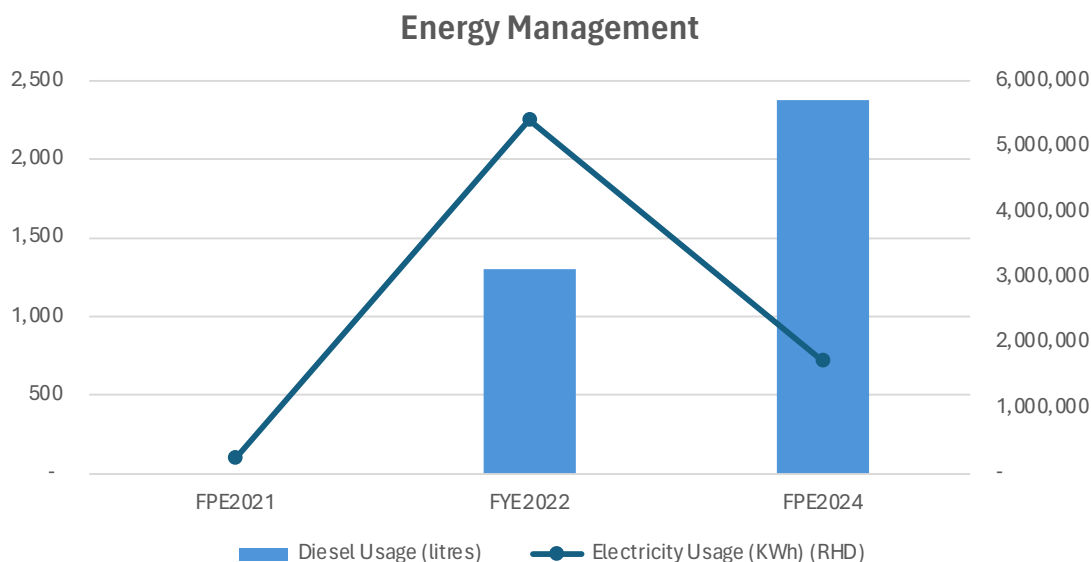
For computers that still can be used, we maintain them as back-up computers in the event of any computer break-down and cannot be repaired immediately. For end-of-life computers, we will engage certified scrap collectors to collect and dispose of them in an environmentally friendly manner.

Energy Management



	1 Apr 2020 – 30 Sep 2021 (18 Months)	1 Oct 2021 – 30 Sep 2022 (12 Months)	1 Oct 2022 – 31 Mar 2024 (18 Months)
Electricity Usage (KWh)	237,190	5,411,868	1,729,715
Diesel Usage (litres)	-	1,300	2,378
Carbon Emission (t CO ₂ e)	175.76	4,013.64	1,288.03

The energy consumption of the Group primarily derives from electricity due to heavy machinery usage in the manufacturing of gloves. The plunge in electricity usage during the FPE 2024 is largely due to lower production activities in gloves segment during the period under review, hence lower carbon emission.



Comparison between the last 3 financial period/years may not be meaningful as the business activities during FPE 2024, FYE 2022 and FPE 2021 were over an 18-month, 12-month and 18-month period respectively, and there was a spill-over effect from the Covid-19 pandemic into FYE 2022.

The Group is establishing a roadmap towards reducing its carbon footprint by seeking ways to improve the efficiency of our energy consumption, by utilizing energy efficient machinery and utilization of renewable energy.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT (CONT'D)



Waste & Water Management

Hong Seng believes in recycle, reuse and reduce the materials we utilize in our production process and day-to-day operations. These initiatives also include reducing the need to use unnecessary parts surface treatment. In addition, we make a point to recycle our used materials, papers and wrapping plastic sheets.

 Appropriate Waste Storage On-Site All hazardous waste is stored and labelled accordingly on-site to prevent waste contamination and leakage.	 On-Site Inspections We conduct regular inspections on waste storage and other facilities to ensure handling of scheduled waste is performed accordingly.	 Licensed Waste Contractors Only licensed waste contractors are engaged for collection and disposal of hazardous waste, as authorised by regulators.	 Trained and Experienced Personnel Our facility team is experienced and skilled.
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Electronic Scheduled Waste Information System (“eSWIS”) is one of the environmental mainstreaming tools maintained by the Ministry of Natural Resources, Environment and Climate Change Malaysia. eSWIS is an online portal which allows users to file any scheduled waste consignment and inventory details, review of submitted consignment notes for transfer and receiving, in an efficient and secure environment.

Waste generator, waste transporter and waste receiver shall be properly recorded, tracked, and monitored their waste movement, consignment in compliance to Environmental Quality (Scheduled Waste) Regulation 2005 and Environmental Quality (Prescribed Premises) (Scheduled Waste Treatment and Disposal Facilities) Regulation 1989).

All the scheduled waste generated shall be fully recorded into eSWIS, the details including waste information, waste code, waste name, waste component, waste type, and waste packaging. As for recurring scheduled waste, the waste code, quantity and packaging shall be updated in eSWIS.

As per environmental policy of the Group, whenever our company’s scheduled waste either accumulated up to 20 metric tons or stored for maximum of 6 months whichever achieved, we are required to arrange for our licensed waste contractors to collect and dispose the scheduled waste from our premise.

Currently we are controlling the waste generation at 0.5 to 1 MT per month. The waste contractor required us to fill up the Consignment Note (“CN”) in eSWIS after the collection of the schedule waste from our premises.

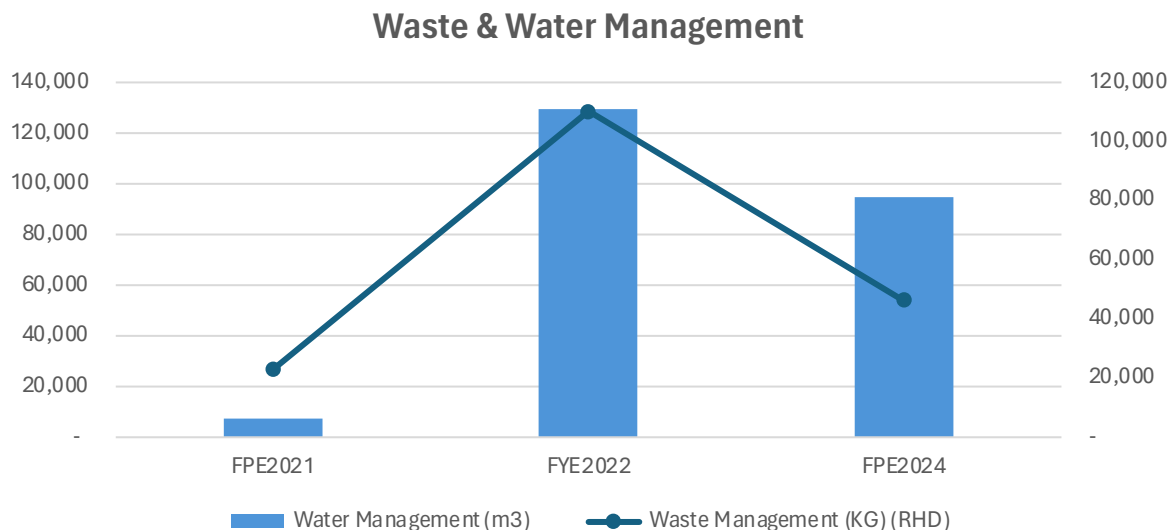
The water consumption of the Group is mainly recorded from our factories manufacturing gloves as our other business segments consume very little water in their operations.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT (CONT'D)



Waste & Water Management (Cont'd)



We are working towards minimising the waste and water generated from our production especially in our manufacturing of gloves. We also constantly send our competent personnel to attend environmental training. This is to ensure that all the staff in the Group are aware of the scheduled waste compliance such as scheduled waste handling, labeling, packaging and storing.

OUR PEOPLE

Hong Seng strongly believes that our employees are an asset to our Group. We continuously invest in our employees as we believe that they will propel us towards achieving sustainable growth in the long term. We constantly engage with our employees to ensure that they understand our mission, culture, best practices and most importantly, our commitment to sustainability and EESG matters.

We strive to ensure that our employees derive work satisfaction while providing them with a structured career development path with opportunities to gain experience with our group of companies.

In developing our business strategy, we emphasize human rights and will never tolerate any forms of discrimination and practices. We operate our business ethically, responsibly and take initiatives to prevent incidents of sexual harassment, child labour and forced labour.

Health and Safety



Hong Seng puts top priority on matters concerning the health and safety of our most important assets, employees in our business operations and workplaces. We aim to minimize injuries and illnesses among those working within our premises by emphasizing a safe, healthy, and conducive environment. Our priority includes suppliers, contractors, and visitors to our premises. We strongly believe that such a priority will lead to improvement in efficiency and output.

Our Safety and Health Policy outlines how our business operations are conducted in a safe manner, through the implementation of various measures and controls by all levels of our workforce.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT (CONT'D)



Health and Safety (Cont'd)

The Group offers medical care to all its employees including periodic health screening and annual health surveillance. Medical supplies such as First-Aid Boxes are strategically located to facilitate easy access to it, in the event of medical emergencies.

We also arrange health and safety training for our staff to deal with medical emergencies, such as performing cardiopulmonary resuscitation ("CPR"), by inviting medical professionals to conduct such training. We constantly review the relevancy of such training, especially on emergency response, hazard and risk management, as well as health and safety awareness. The Covid-19 pandemic is a good example on how important and relevant of such training in dealing with crisis.

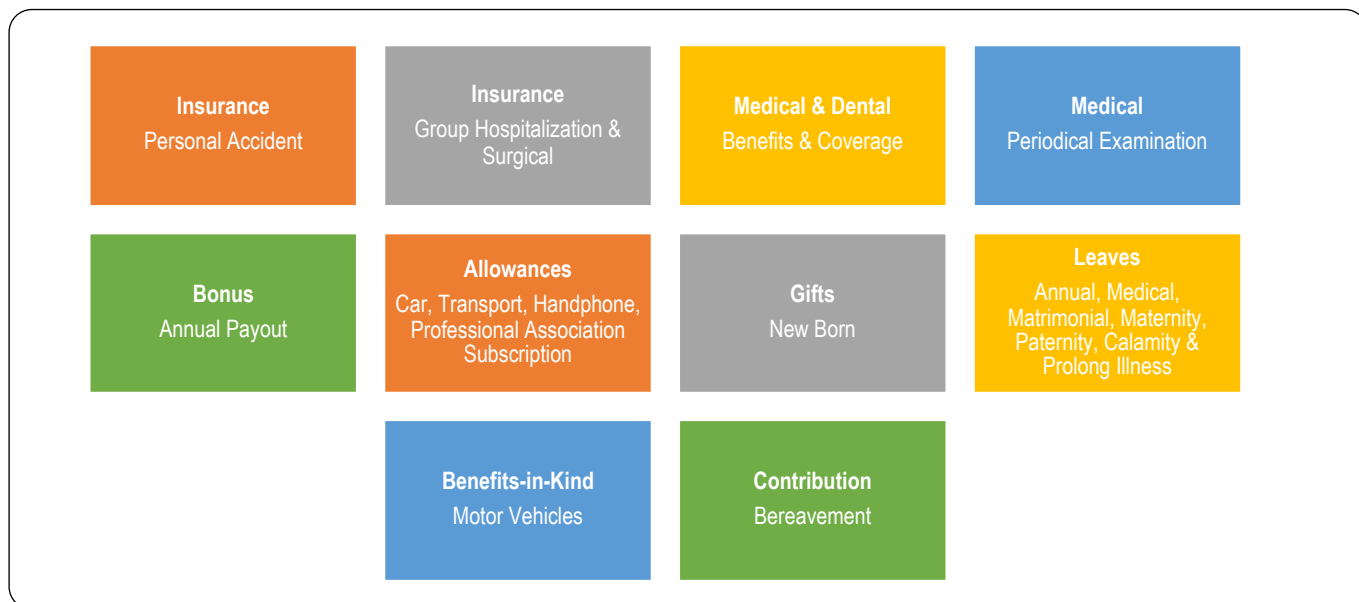
During the FPE2024, there have not been any reported work-related fatalities.



Attracting Developing, Rewarding & Retaining Employees

Our employees are our most important asset. In recognition of our employees' contributions to the Group's continued success, we implement and adhere to the best practices of employment engagement, which include attractive remuneration, competitive compensation and benefits program, robust training, and development programs, assurance for employees' wellness, and talent retention.

The diagram below shows our benefits to our employees -



Other than the above-mentioned benefits, we also celebrate employees' birthday and various festivals such as Chinese New Year luncheon, Christmas lunch, and Majilis Buka Puasa to strengthen bonding relationship between employees and create a healthy working environment.

SUSTAINABILITY STATEMENT (CONT'D)

OUR ENVIRONMENTAL MANAGEMENT (CONT'D)

Labour Practices & Rights



Hong Seng fosters an inclusive and diverse work environment as we emphasize upholding the labour rights of our staff force, in our efforts to nurture a healthy and conducive working environment.

Our Code of Conduct and other human resource and labour policies protect labour rights and is based on local employment regulations, such as the Malaysian Employment Act 1955, and relevant industry standards.

The labour rights we uphold include:

- (i) No child labour
- (ii) No forced labour
- (iii) No unreasonable working hours
- (iv) Fair wages
- (v) Safe workplace
- (vi) Human treatment
- (vii) No discrimination

The Group had on 1 January 2024, implemented amendments made by the Government of Malaysia to the Employment Act 1955. The latest measures involve extending maternity leave to 98 days and offering married male employees 7 days of paternity leave, as well as a reducing maximum working hours from 48 hours to 45 hours per week.

We understand the importance of labour rights and therefore we will continue to update ourselves on any update on the Employment Act and related labour law.

During the FPE2024, the Group has not received any substantiated complaints concerning human rights violation.

Grievances Mechanism



Employees need to have an avenue to vent their dissatisfaction or grievances so that issues can surface and be addressed accordingly before they are able to spread and affect morale.

At Hong Seng, we have put in place a grievance mechanism for this purpose. We are encouraging our staff to open and speak to our Human Resource ("HR") representatives if there are any grievances.

The Group always encourages its staff to share their challenges, and based on past experiences and events, we found that our staff is willing and assured to share and speak with our HR if they have any doubt or grievances. HR then will discuss with their immediate superior or head of divisions and try to get a solution for the matter.

We have not received any grievances during FPE 2024.

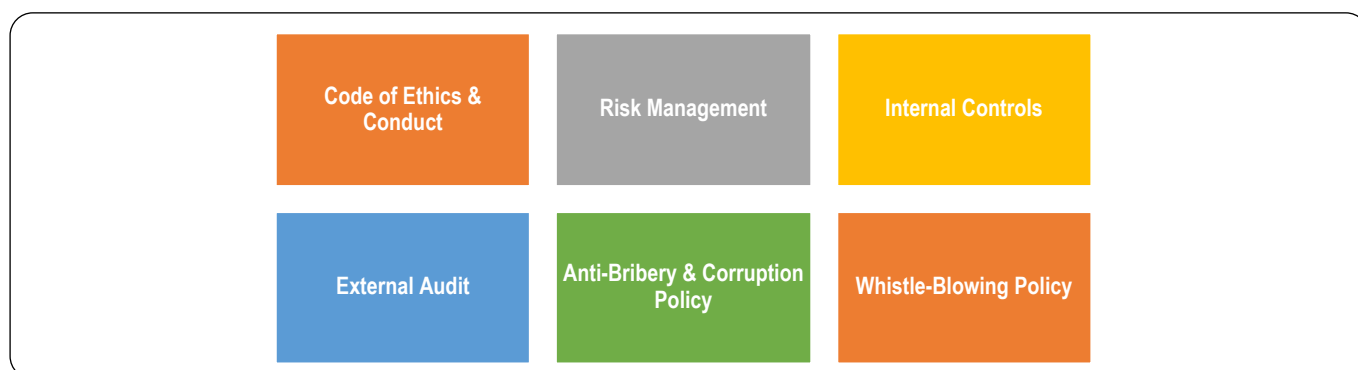
SUSTAINABILITY STATEMENT (CONT'D)

ETHICS & COMPLIANCE

Hong Seng is committed to ensuring the highest standards of corporate governance throughout the Group so that the affairs of the Group are conducted with integrity and professionalism with the objective of safeguarding shareholders' investment and enhancing shareholders' value, while reinforcing confidence of our stakeholders in the group. As a result, the high standards of business ethics and compliance across the group reflect our core values, which are **Honesty, Integrity and Operational Excellence**.

We require all our employees to maintain the highest standards of conduct and integrity when conducting business with customers, suppliers, and other stakeholders. In addition, we do not tolerate any breach of the Group's Code of Ethics and Conduct ("**Code**") and encourage our employees to highlight any instances of malpractice and non-compliance.

Our corporate governance practices include the following -



Corporate Governance



Hong Seng believes that good Corporate Governance is a pre-requisite for the Group to build sustainable long-term value for its shareholders. We are therefore guided by legislative and regulatory requirements, including corporate governance best practices published by the relevant authorities.

Our Corporate Governance Overview Statement forms part of our Annual Report.

Standards of Code of Ethics and Employees' Discipline & Conduct



Our Corporate Code comprises policies on Standards of Conduct, Business Ethics and Conflicts of Interest.

The Code encompasses the following policies –



SUSTAINABILITY STATEMENT (CONT'D)

ETHICS & COMPLIANCE (CONT'D)

Standards of Code of Ethics and Employees' Discipline & Conduct (Cont'd)



All employees of the Group are expected to comply with the Code which is adopted at all levels within the Group. It covers the principles by which behaviours are assessed and guides an employee's direct and indirect roles and responsibilities inside and outside the Group. These principles are shared with all employees and emphasized during training sessions. Upon employment in the Group, employees pledge their agreement to the Code when signing their letter of offer.

Anti-Bribery Corruption Policy



Hong Seng is fully committed to ensuring the highest business conduct, upholding integrity, and good corporate governance. The Group has zero tolerance towards corruption and bribery.

The Anti-Corruption Amendments requires Public Listed Companies ("PLCs") on Bursa Malaysia to establish and implement policies and procedures on anti-corruption and whistleblowing to prevent corrupt practices, which will enable PLCs to have a measure of defense against corporate liability for corruption under Section 17A of the MACC Act. In addition, the Anti-Corruption Amendments require PLCs and their board of directors to review the policies and procedures periodically or at least once every three years to assess their effectiveness. The Anti-Corruption Amendments also require PLCs to ensure that corruption risks are included in the annual risk assessment of PLCs and their group of companies.

We are glad to announce that there are no reported incidents of corruption and bribery during the financial year under review.

Whistle Blowing Policy



The Whistle Blower Protection Act 2010 provides the guide in formulating the Whistleblowing Policy ("WBP") of Hong Seng. This WBP provides the assurance and confidence to our employees and external parties that we have an effective channel to report on any activity that breaches our Code and/or any breach of ethics or omission by an employee of the Group.

Our WBP can be accessed from our website at www.hongseng.com.my. Whistle blowers can write to whistleblowing@hongseng.com.my.

Hong Seng confirms that there was no complaint received during the period of reporting.

DIVERSITY, EQUITY & INCLUSION

Board of Directors



In the release of the Budget of 2022, it was stated that women only hold 25% of board positions on the top 100 public listed companies in Malaysia, and 27% or 252 companies listed on Bursa Malaysia still do not have any female directors. In recognizing the role of women in the decision-making process and to strengthen the governance and effectiveness of the boards, Bursa Malaysia makes it a mandatory to have at least 1 woman director sitting in the board for all public listed companies by 1 June 2024.

The Board of Directors of Hong Seng is pleased to announce that Ms Lee Li Chain was appointed as our Executive Director ("ED") on 1 September 2022.

SUSTAINABILITY STATEMENT (CONT'D)

DIVERSITY, EQUITY & INCLUSION (CONT'D)



Employees

As at financial period ended 2024, we have a total of 321 employees (FYE 2022 – 482 employees) and the breakdown of our employees by age and gender are as follow:

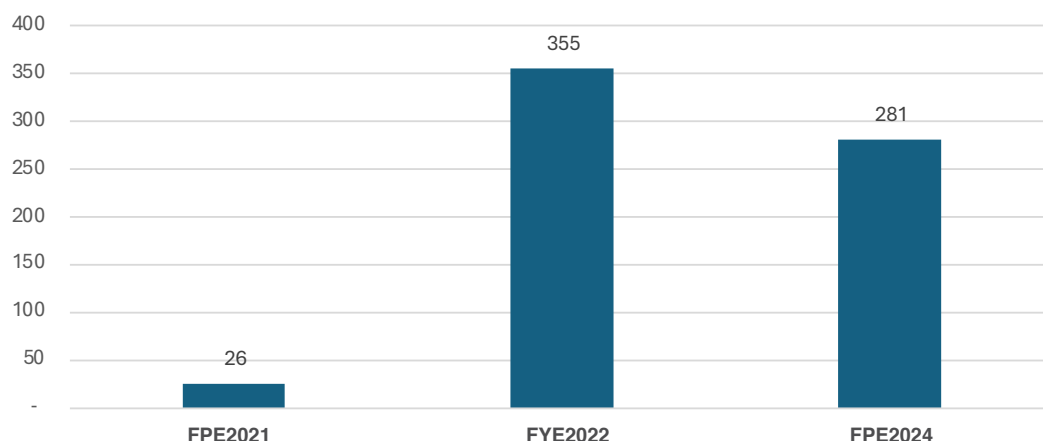
By Gender	1 Apr 20 – 30 Sep 21 (18 months)		1 Oct 21 – 30 Sep 22 (12 months)		1 Oct 22 – 31 Mar 24 (18 months)	
	Male	Female	Male	Female	Male	Female
Employees	137 60%	91 40%	322 67%	160 33%	229 71%	92 29%

Level	FPE2021	FYE2022	FPE2024	Age Range	FPE2021	FYE2022	FPE2024
Management	21	37	27	< 30 years old	128	262	120
Executive	49	72	44	31 – 50 years old	81	194	182
Non-Executive	55	101	63	> 50 years old	19	26	19
General Workers	103	272	187				
	228	482	321		228	482	321
Management	9%	8%	8%	< 30 years old	56%	54%	37%
Executive	22%	15%	14%	31 – 50 years old	36%	40%	57%
Non-Executive	24%	21%	20%	> 50 years old	8%	6%	6%
General Workers	45%	56%	58%				
	100%	100%	100%		100%	100%	100%

In Hong Seng, we do not set any gender target, however, we strive to achieve a balance of genders at the departmental and Group level. We are cognizant that certain department especially in the production department may have fewer number of female representative due to the nature of the work in the department.

Hong Seng remains committed to ensuring that the talent acquisitions are made based on their capability and qualification of the candidates without any bias. We are constantly grooming young talent to take on future leadership roles, hence our focus is on employees aged 45 and below.

Staff Turnover



SUSTAINABILITY STATEMENT (CONT'D)

DIVERSITY, EQUITY & INCLUSION (CONT'D)



Employees (Cont'd)

The Group managed to slash its staff turnover to 281 in FPE 2024 from a high of 355 in FYE 2022. The high staff turnover was mainly due to the reduction of workers from glove manufacturing arising from the sharp decline in the production volume of gloves.

Meanwhile, Hong Seng continued to emphasize on human resource development within the Group and invested in employee learning and development programs, in the group's efforts to develop its talent within the organization.



Employee Learning & Developments

Hong Seng believes that human resources within the Group is our most important asset. As a result, we place great importance on employee learning and development through on-job and external training. Competent staff will contribute significantly towards efficiency and effectiveness from design, development, product planning, procurement, production, business development, sales, and customer service. In addition, a well-trained staff would reduce safety issues that would affect the process flow of production and keep down-time to a minimum.

Our staff training programs are identified based on business strategies and operational needs, meeting regulatory requirements, and ensuring the development of our people's technical, interpersonal, business and management skills.

TRAINING PROGRAMMES ATTENDED BY ALL STAFF

ISO 137001:2016 ANTI BRIBERY MANAGEMENT SYSTEM
 BICARA EKSEKUTIF: KELESTARIAN PENGURUSAN BUANGAN BERBAHAYA DI MALAYSIA
 BASIC GUIDELINES ON IMPLEMENTING TRACEABILITY USING GS1 STANDARD
 ESH WORKSHOP
 WORKSHOP ON INTERNATIONAL LABOUR STANDARDS
 INTERPERSONAL COMMUNICATION TRAINING
 MANAGING NEGATIVE HABITS
 COACHING & COUNSELING TRAINING
 PROBLEM SOLVING AND DECISION MAKING TRAINING
 KURSUS PENINGKATAN KEFAHAMAN DALAM PERUNDANGAN HUBUNGAN INDUSTRI: PENGURUSAN DISIPLIN DI TEMPAT KERJA & JENIS-JENIS PENAMATAN PEKERJA
 BRIEFING ON NEW APPLICATION PROCESS UNDER THE FOREIGN WORKER RECRUITMENT RELAXATION PLAN BY JTKSM
 INTRODUCTORY TO ANTI-BRIBERY & CORRUPTION (ABC) TRAINING
 OCCUPATIONAL SAFETY AND HEALTH COORDINATOR
 HUMAN RESOURCE MANAGEMENT SKILLS
 KURSUS KESELAMATAN KEBAKARAN BAGI ORGANISASI KESELAMATAN KEBAKARAN (OKK)
 PINDAAK TERKINI UNDANG-UNDANG PERBURUHAN
 KOLOKIUIM KEHARMONIAN PERUSAHAAN "KESAKSAMAAN IMBUHAN PENGGAJIAN PEKERJA"
 MODUL LATIHAN ROAD SAFETY RIDING
 ERGONOMICS, MANUAL HANDLING & OSH TRAINING
 PARADIGM SHIFT: CHANGE MANAGEMENT
 EFFECTIVE COMPENSATION AND BENEFITS MANAGEMENT

TRAINING PROGRAMMES ATTENDED BY MANAGEMENT STAFF

CROWE CPE - CFO NIGHTMARES: ACCOUNTING, AUDITING, TAXES AND PERSONAL LIABILITIES ON 29 NOV 2022
 MIA WEBINAR - WHAT AND HOW TO DISCLOSE IN THE MD&A
 MIA WEBINAR - LATEST DEVELOPMENT IN MFRS/IFRS AND IC INTERPRETATION - OVERVIEW
 VIRTUAL MIA INTERNATIONAL ACCOUNTANTS CONFERENCE 2023
 MIA WEBINAR SERIES: A COMPREHENSIVE REVIEW OF LATEST DEVELOPMENTS IN MFRS
 BDO - TAX SEMINAR ON BUDGET 2024: EMPOWERING FINANCIAL SUSTAINABILITY
 COSPEC - BRIEFING ON THE KEY AMENDMENTS TO MAIN MARKETING LISTING REQUIREMENTS OF BURSA

SUSTAINABILITY STATEMENT (CONT'D)

DIVERSITY, EQUITY & INCLUSION (CONT'D)



Employee Learning & Developments (Cont'd)

TRAINING PROGRAMMES ATTENDED BY TECHNICAL STAFF

ETCC Temperature Monitoring System New User training
 Training in Performing QFT-Plus ELISA test with DS2
 Seegne Day 2023
 Internal Laboratory Safety training
 Basic QC Principle Training (CME Internal Training)
 WiseClave Autoclave Training
 Training for Medical Professionals: 2023 New Updates For Laboratory ISO Standards -ISO 15189:2022
 ISO 15189:2022 - Medical Laboratories- Requirements for quality and competence
 Infectious Disease Symposium 2023
 Diabetes: Beyond HbA1c
 Risk stratification of the apparently healthy population for future cardiac events
 How and why you should move from culture to a rapid, 1-step multiplex RT-PCR test for acute diarrhea
 ASPR Covid-19 Educational Webinars: Triple endemic to Endemic: finding diagnostic certainties in a changing respiratory landscape
 Digital PCR- make every molecule count. A discussion on fungal DNA detection applications
 Burden and management of viral respiratory infections in the pediatric population: What the COVID-19 pandemic has changed
 Multiplex versus low-plex testing for infectious illness - could you be underdiagnosing patients?
 New diagnostic solutions for the management of viral infections in transplant patients
 Developing and Implementing high throughput Candida auris RT-PCR tests to expand screening in healthcare environment
 Syndromic PCR testing for GI parasites, including Dientamoeba fragilis and microsporidia, and their role in gastrointestinal disease
 Fire Prevention and Fire Fighting Measures
 Multiplexing qPCR assays for detecting COVID variants, infectious diseases and beyond
 Tspot test training Day 1
 Tspot test training Day 2
 WSPID Webinar - Conquering Meningitis and Encephalitis: Management & Prevention Challenges in Bacterial and Viral Cases - A Compelling Case Study from South-east Asia.
 FTD Respiratory Pathogens 33 kit user training
 New practices and impacts of rapid multiplex PCR testing in diagnosis and infection control of lower respiratory infections
 Using proficiency testing reports to identify problem areas
 Simplifying Diagnostic Pathways with Point-of-Care Hepatitis and HIV PCR Testing
 Precision Medicine Symposium: For the Development of Genomic Workforce
 Mediven GenoAmp Real-time RT-PCR Dengue user training
 How to choose clinically relevant targets for your infectious disease panels
 The Discovery of HIV: 40 Years of History, Science, and Controversy
 Is it time to say "goodbye" to tuberculin skin testing (TST) when on-boarding healthcare workers?
 Antimicrobial Stewardship: Setting Sail on Best Practices to Optimize Treatments
 Care to Calibration: Pipetting to Perfection, Lost in ISOs:ISO17025 vs ISO8655
 (Abbot) Cardiac Risk Stratification with high sensitive Troponin-I among apparently healthy population, APAC User Meeting
 High Rates of ESBL-producing and Gentamycin-resistant Gram-negative Bacteria During the First Week of Life: A Multicenter Cross-sectional Study Among Infants Younger Than 2 Months With Urinary Tract Infection
 Advance Pipetting Solutions
 Broaden the horizons of diagnostic solution for parasitic infections
 Women's Health
 Multiplexing in real-time PCR-benefits, challenges, and opportunities
 CME For Critical Role of EQA Program: Maximize Laboratory Performance
 Advancing LTBI screening in immunosuppressed patients: listen to the evidence
 Fighting antimicrobial resistance in sexually transmitted infection
 HRD Corp e-LATiH: Time Management For Better Productivity
 HRD Corp e-LATiH: Communication Skills, Cooperation and Conflict Management
 HRD Corp e-LATiH: Critical Thinking Skills For Professionals
 HRD Corp e-LATiH: Workplace Safety For Employees
 HRD Corp e-LATiH: Coaching Leadership: Increase Your Impact As A People Manager
 HRD Corp e-LATiH: Critical Thinking Skills For Professionals
 HRD Corp e-LATiH:Papan Tunda Keselamatan Di Tempat Kerja
 HPV28 Genotyping-LBC (SurePath) Preprocess & Nimbus Extraction Training
 Allplex HPV28 Assay User Training
 Dengue Academy Masterclass:Emerging issues in dengue control
 Dengue Academy Masterclass:Dengue in travelers
 Agilent Genomics Day 2024
 Improving Laboratory Compliance : Strategies to Address Deficiencies
 Dengue Academy Masterclass:Dengue prevention: vaccination as part of a comprehensive strategy for disease control
 Safety Awareness on Biosafety Cabinet, Laminar Flow and Fume hood
 Essential costing knowledge & skills for corporate executives and managers
 MS ISO 15189:2022 Medical Laboratories- Requirement for Quality and Competence Workshop
 Breaking Barriers in STI Clinical Management:Addressing Resistance Challenges and Incorporating New Diagnostics Approaches
 12th Nasopharyngeal Carcinoma NPC Research Day 2024
 The Role of Syndromic Testing for Diagnosing Cytomegalovirus (CMV) Meningoencephalitis
 ESCO:The Art of Pipetting:Skills for Consistency and Productivity
 QuantiFERON-TB Gold Plus Applications Training
 Eppendorf Webinar Series: Pipette Maintenance
 Internalizing tuberculosis testing with LIAISON QuantiFERON -TB Gold Plus
 Anyplex MTB NTM Real Time Detection Kit User Training
 User Training for Sansure HPV Assay,Standard Q Dengue Duo and SD-Biosensor STANDARD M10 MDR-TB

SUSTAINABILITY STATEMENT (CONT'D)

DIVERSITY, EQUITY & INCLUSION (CONT'D)



Employee Learning & Developments (Cont'd)

The Group has been sending its staff to various trainings and development programmes to equip them with the latest to enhance their exposure and skill set.

During the financial period, the Group intensified its employee learning and development program by increasing its number of trainings by more than 50%, tripling the total hours of training and doubling the number of staff attending the trainings, over the period under review.

During the FPE 2024, the Group invested approximately RM70,000 in training and development.

CYBERSECURITY AND IT MANAGEMENT



We have seen the acceleration of various trends involving around remote working, e-commerce and automation, which has propelled the adoption of digital technologies and infrastructure. However, it has also made data more susceptible to cybersecurity risks. As a result, Hong Seng has a responsibility to manage the growing threat of cyber-attacks including external hacking or cyber penetration, protecting the sensitive information of our group and customers, and to prevent any leaks, threats or loss of our group and customer information.

The Group will continue to remain cautious and vigilant to the growing potential cybersecurity risks that are ever present especially as our customers are mainly in the medical industry and key players in their respective industries.

As a result, we continue to place great importance on our internal control framework to protect the privacy and security of data, information and intellectual properties belonging to us and our stakeholders.

The Group periodically review and upgrade the computer and server protection from conventional anti-virus software to next-generation endpoint protection software.

For our day-to-day operations, we continue to emphasize on the importance of implementing internal mitigative measures such as antivirus, endpoint protection and firewall protection and 24-hour real time monitoring and detection of malicious network traffic. Our IT team constantly test the effectiveness of our IT processes and systems, while they also conduct regular IT asset management and audits of our systems.

SUSTAINABILITY STATEMENT (CONT'D)

COMMUNITY

The Group believes in giving back to society, in this case, the communities in which we are located, while investing in the future of our next generations. The communities around us form a significant pillar in our growth, especially when many of our employees come from these same communities. As we perform our social responsibilities, we encourage our employees to volunteer for the causes we believe in as they develop their compassion and empathy towards society.

During the FPE2024, the Group donated supplements and nutrients to En Yuen Old Folks Home and Ai Yi De Old Folks Home. The Group also contributed 200 cartons containing 20,000 test kits ("Test Kits V-19") to Jabatan Imigresen Malaysia Negeri Selangor and 500 cartons to various surau and institusi Pendidikan.



SUSTAINABILITY STATEMENT (CONT'D)

PERFORMANCE DATA TABLE

Common Sustainability Matters (Para 6.3(c))

Indicator	Measurement Unit	2024
Bursa (Anti-corruption)		
Bursa C1(a) Percentage of employees who have received training on anti-corruption by employee category		
Management	Percentage	70.40
Executive	Percentage	20.50
Non-executive/Technical Staff	Percentage	6.30
General Workers	Percentage	0.00
Bursa C1(b) Percentage of operations assessed for corruption-related risks	Percentage	100.00
Bursa C1(c) Confirmed incidents of corruption and action taken	Number	0
Bursa (Community/Society)		
Bursa C2(a) Total amount invested in the community where the target beneficiaries are external to the listed issuer	MYR	95,984.00
Bursa C2(b) Total number of beneficiaries of the investment in communities	Number	5
Bursa (Diversity)		
Bursa C3(a) Percentage of employees by gender and age group, for each employee category		
Age Group by Employee Category		
Management Under 30	Percentage	0.00
Management Between 30-50	Percentage	70.40
Management Above 50	Percentage	29.60
Executive Under 30	Percentage	22.70
Executive Between 30-50	Percentage	68.20
Executive Above 50	Percentage	9.10
Non-executive/Technical Staff Under 30	Percentage	54.00
Non-executive/Technical Staff Between 30-50	Percentage	42.90
Non-executive/Technical Staff Above 50	Percentage	3.10
General Workers Under 30	Percentage	40.60
General Workers Between 30-50	Percentage	56.70
General Workers Above 50	Percentage	2.70
Gender Group by Employee Category		
Management Male	Percentage	66.70
Management Female	Percentage	33.30
Executive Male	Percentage	47.70
Executive Female	Percentage	52.30
Non-executive/Technical Staff Male	Percentage	41.30
Non-executive/Technical Staff Female	Percentage	58.70
General Workers Male	Percentage	87.70
General Workers Female	Percentage	12.30
Bursa C3(b) Percentage of directors by gender and age group		
Male	Percentage	85.70
Female	Percentage	14.30
Under 30	Percentage	0.00
Between 30-50	Percentage	42.90
Above 50	Percentage	57.10
Bursa (Energy management)		
Bursa C4(a) Total energy consumption	Megawatt	1,729,715.00
Bursa (Health and safety)		
Bursa C5(a) Number of work-related fatalities	Number	0
Bursa C5(b) Lost time incident rate ("LTIR")	Rate	0.00
Bursa C5(c) Number of employees trained on health and safety standards	Number	2
Bursa (Labour practices and standards)		
Bursa C6(a) Total hours of training by employee category		
Management	Hours	1,232
Executive	Hours	2,103
Non-executive/Technical Staff	Hours	2,786
General Workers	Hours	1,413
Bursa C6(b) Percentage of employees that are contractors or temporary staff	Percentage	0.00
Bursa C6(c) Total number of employee turnover by employee category		
Management	Number	12
Executive	Number	40
Non-executive/Technical Staff	Number	75
General Workers	Number	154
Bursa C6(d) Number of substantiated complaints concerning human rights violations	Number	0
Bursa (Supply chain management)		
Bursa C7(a) Proportion of spending on local suppliers	Percentage	99.00
Bursa (Data privacy and security)		
Bursa C8(a) Number of substantiated complaints concerning breaches of customer privacy and losses of customer data	Number	0
Bursa (Water)		
Bursa C9(a) Total volume of water used	Megalitres	95,016.00